Who Gets to Be a Bank?
Digital Money, Regulatory Design, and the Remaking of Banking:
Evidence from the United States, Hong Kong, and Singapore

Wei Ye, Jingyan Xu, Erick Rengifo[1]

First Version: June 30, 2026

This Version: Oct 26, 2026

Abstract

Digital money is usually analyzed instrument by instrument: stablecoins, tokenized deposits, and central bank digital currency. That approach cannot explain why three jurisdictions with common-law origins and similar financial ambitions have responded to the same technology so differently. Within six months, the Office of the Comptroller of the Currency conditionally approved five national trust bank charters for digital-asset firms, and the Hong Kong Monetary Authority granted its first stablecoin issuer licenses to institutions tied to the city's note-issuing banks, while the Monetary Authority of Singapore concentrated on wholesale settlement infrastructure. This Article argues that each jurisdiction is deciding a question that instrument labels obscure: who may perform bank-like functions, which public privileges they receive, and where public support ends.

Drawing on a structured comparison, the Article identifies three regulatory grammars, each operating through a distinct legal technique. The United States relies on chartering: its charter-menu model distributes bank-like functions among national trust banks, full-service de novo banks, incumbent banks issuing deposit tokens, and state special-purpose institutions, and the GENIUS Act adds a statutory layer for stablecoin issuers. Hong Kong relies on licensing, anchoring stablecoin issuance in institutions close to its monetary architecture. Singapore relies on access to infrastructure, organizing tokenized finance around regulator-coordinated settlement networks and wholesale central bank money.

The Article's central claim is that digital money unbundles bank-like functions technologically, while law rebundles them institutionally by attaching public privileges and obligations to the entities that perform them. Each technique has a characteristic failure point: chartering produces an unstable regulatory perimeter, licensing confers public credibility that holders may mistake for a public backstop, and infrastructure access concentrates discretion in the governance of the settlement layer. The Article therefore proposes that regulatory obligations track the functions

---

[1] Wei Ye, Ph.D. Candidate in Economics, Fordham University. Jingyan Xu, Ph.D. Candidate in Computer Science, Fordham University. Erick Rengifo, Professor of Economics and Founding Director of the Center for International Policy Studies (CIPS), Fordham University. The authors used Claude to improve clarity, ChatGPT to check facts, and the Legal Research Skills plug-in (https://danepps.github.io/legal-research-skills/) to proofread. The authors reviewed the final text and accept full responsibility for its content. Comments on this draft are welcome; please contact Wei Ye at wei.ye@fordham.edu.

an entity performs and the public privileges it receives, and that the boundary of public support be declared ex ante rather than drawn in a crisis.

Keywords: Digital Money; Banking Charter; Stablecoin Regulation; Tokenized Deposits; Central Bank Digital Currency, GENIUS Act

Introduction

In December 2025, the U.S. Office of the Comptroller of the Currency (OCC) conditionally approved five national trust bank charters in a single day, putting Circle, Ripple, BitGo, Paxos, and Fidelity Digital Assets on the path to federal banking status — firms whose primary business is the issuance and custody of digital assets rather than the taking of deposits or the making of loans. [2] Five months later, the OCC granted preliminary conditional approval for a different kind of charter, a full-service national bank, [3] to Augustus Bank, a start-up backed by Peter Thiel's Valar Ventures that describes its planned bank as "made of code."[4] On July 31, 2026, the FDIC approved Augustus's application for deposit insurance, but the bank remains in organization and

---

[2] Press Release, Office of the Comptroller of the Currency, *OCC Announces Conditional Approvals for Five National Trust Bank Charter Applications* (Dec. 12, 2025), https://www.occ.gov/news-issuances/news-releases/2025/nr-occ-2025-125.html. For the OCC's digital-asset licensing materials more generally, see Office of the Comptroller of the Currency, *Digital Assets Licensing Applications*, https://www.occ.gov/topics/charters-and-licensing/digital-assets-licensing-applications/index-digital-assets-licensing-applications.html. For the financial-stability implications of stablecoin trust banks and partial Federal Reserve access, see Wei Ye & Erick W. Rengifo, *The Safety Illusion: Stablecoin Trust Banks, Partial Federal Reserve Access, and Financial Stability* (SSRN Working Paper, Mar. 16, 2026), https://ssrn.com/abstract=6427758.

[3] A national trust bank is a national bank whose operations are limited to those of a trust company and activities related thereto. *See* 12 U.S.C. § 27(a); 12 C.F.R. § 5.20(e)(1)(i); National Bank Chartering, 91 Fed. Reg. 9977 (Mar. 2, 2026) (to be codified at 12 C.F.R. pt. 5). It exercises fiduciary powers under 12 U.S.C. § 92a and 12 C.F.R. pt. 9, and ordinarily does not accept insured or demand deposits or make commercial loans. A full-service national bank, by contrast, is chartered to conduct the "business of banking" under 12 U.S.C. § 24 (Seventh), including taking deposits and making loans, and must obtain FDIC deposit insurance before opening. Both are member banks of the Federal Reserve System and so are legally eligible for Reserve Bank accounts. *See* 12 U.S.C. §§ 222, 282, 342. The difference determines which public privileges the charter conveys, including deposit insurance and access to the discount window, and the tier of the Account Access Guidelines in which a Reserve Bank reviews the bank's request for an account. It also determines whether the bank's parent is supervised as a bank holding company. *See* 12 U.S.C. § 1841(c)(1), (c)(2)(D); *infra* Parts III.B, III.D.

[4] Office of the Comptroller of the Currency, Corporate Decision No. 1374, *Application to Charter Augustus National Bank, National Association, Dallas, Texas* (May 8, 2026), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2026/cd1374.pdf; *see also* Press Release, Augustus, Augustus Receives OCC Conditional Approval to Charter the First Clearing Bank for the AI Era (May 11, 2026), https://www.prnewswire.com/news-releases/augustus-receives-occ-conditional-approval-to-charter-the-first-clearing-bank-for-the-ai-era-302768111.html.

may not open until the OCC grants final approval.[5] Meanwhile, in April 2026, the Hong Kong Monetary Authority granted its first two stablecoin issuer licenses under the 2025 Stablecoins Ordinance. The recipients were HSBC and Anchorpoint Financial Limited, a joint venture involving Standard Chartered Bank (Hong Kong), HKT, and Animoca Brands — placing the first licensed stablecoin issuers close to Hong Kong's incumbent monetary and banking architecture.[6] In Singapore, the Monetary Authority's response to the digital-money moment has been different again: MAS has emphasized Project Guardian and the SGD Testnet as wholesale, permissioned infrastructures through which incumbent financial institutions experiment with tokenized assets and central-bank-backed settlement.[7]

Three jurisdictions facing the same technological shock have produced three structurally different answers to a single regulatory question: who gets to perform bank-like functions in the digital era, and through which institutional form? The United States has produced a charter menu — incumbent banks issuing deposit tokens, national trust banks, state-chartered narrow settlement banks, and de novo digital banks coexist under different regulatory regimes, and the OCC has admitted crypto-native entrants to the federal banking system through conditional approvals. Hong Kong has produced a licensed incumbent regime — a small number of licenses granted to institutions close to the territory's monetary architecture. In Singapore, by contrast, MAS has

---

[5] FDIC, Order Approving Deposit Insurance, Augustus National Bank, N.A. (In Organization), Dallas, Tex. (July 31, 2026); Press Release, FDIC, FDIC Approves the Deposit Insurance Application for Augustus National Bank, N.A., Dallas, Texas (Aug. 4, 2026), https://www.fdic.gov/news/press-releases/2026/fdic-approves-deposit-insurance-application-augustus-national-bank-na.

[6] Hong Kong Monetary Authority, *Register of Licensed Stablecoin Issuers*, https://www.hkma.gov.hk/eng/regulatory-resources/registers/register-of-licensed-stablecoin-issuers/.

[7] For Project Guardian, see Monetary Authority of Singapore, *Project Guardian*, https://www.mas.gov.sg/schemes-and-initiatives/project-guardian. For an example of wholesale CBDC-based settlement, see Press Release, Monetary Authority of Singapore, *MAS Announces Successful Live Trial of Settlement of Interbank Overnight Lending Using Wholesale Central Bank Digital Currency* (Nov. 13, 2025), https://www.mas.gov.sg/news/media-releases/2025/mas-announces-successful-live-trial-of-settlement-of-interbank-overnight-lending.

emphasized wholesale, permissioned infrastructures such as Project Guardian and the SGD Testnet, through which incumbent financial institutions experiment with tokenized assets and wholesale central bank money.

This divergence is the puzzle this Article seeks to explain. It matters for three reasons. First, the question of who issues digital money is increasingly the question of who issues money — and the answer assigned by each jurisdiction will shape monetary transmission, financial stability, and the competitive position of incumbent banks for decades.[8] Second, the regulatory choices being made now are sticky: charters granted in 2025 and 2026 create constituencies that will lobby to preserve and expand them.[9] Third, the jurisdictions compared here are not peripheral cases. New York, Hong Kong, and Singapore consistently rank among the world's leading international financial centers, and their choices set defaults that smaller jurisdictions will copy, adapt, or react against.

This Article argues that digital-era banking forms are not determined by the underlying technology. Instead, they are shaped by three features of each jurisdiction's institutional structure: how authority over banking is divided, whether a subset of incumbent banks holds a historical privilege to issue money, and how far the regulator already operates and coordinates financial-market infrastructure. Each jurisdiction's monetary regime is the context in which these features operate. The same technological shock—programmable money, tokenized settlement, and 24/7

---

[8] *See* Piero Cipollone, Member of the Exec. Bd., Eur. Cent. Bank, *Digital Assets, Payment Efficiency and Monetary Policy*, Speech at the Workshop on Digital Assets and Monetary Policy Transmission, Rome (May 4, 2026), https://www.ecb.europa.eu/press/key/date/2026/html/ecb.sp260504~3e75e8b138.en.html.

[9] The contest has already reached the courts. The Independent Community Bankers of America (ICBA) has sued the OCC, arguing that the National Bank Act does not authorize the agency to charter national trust banks that conduct substantial non-fiduciary business, and challenging the OCC's 2026 chartering rule, Interpretive Letter No. 1176, and the conditional charter approval granted to Protego Holdings. *See* Complaint, *Indep. Cmty. Bankers of Am. v. Off. of the Comptroller of the Currency*, No. 1:26-cv-03441 (D.D.C. filed Oct. 2, 2026); Press Release, Indep. Cmty. Bankers of Am., *ICBA Sues OCC Over National Trust Bank Charters for Crypto Firms* (Oct. 2, 2026), https://www.icba.org/w/occ-release-oct-2026.

clearing[10] — does not produce convergence on a single "digital bank" archetype. It is filtered through three jurisdiction-specific regulatory grammar that allocate bank-like privileges in structurally different ways. The United States treats digital money as a charter-allocation problem; Hong Kong treats it as a financial-center-branding and monetary-credibility problem; Singapore treats it as a wholesale infrastructure-governance problem. Digital money unbundles bank-like functions technologically, but law rebundles them institutionally. This Article uses rebundling to mean that law reattaches public privileges and obligations to the institutional forms that perform separated functions inside one entity, as the OCC did in approving Augustus; by licensing a single function under conditions, as Hong Kong does for stablecoin issuers; or by setting the terms of access to a settlement layer, as MAS does for wholesale tokenized settlement.

Methodologically, this Article adopts a structured comparative case-study approach.[11]And the purpose is to develop a comparative typology and a narrative explaining how similar technological pressures are translated into different institutional forms. The unit of comparison is the legal technique through which each jurisdiction decides which institutions may issue claims that circulate as money and which may settle them in central bank money. The three regulatory grammars are ideal types: each jurisdiction uses chartering, licensing, and infrastructure access, and the typology identifies the technique that is dominant in each, in the sense defined in Part II. The Article also develops a legal-allocation framework to show how such variation can arise from different institutional structures.

---

[10] In Awrey's terms, the promise of these technologies is that they may bring together good money and good payments: a legally credible monetary IOU circulating through fast, reliable, and programmable payment rails. *See* DAN AWREY, BEYOND BANKS: TECHNOLOGY, REGULATION, AND THE FUTURE OF MONEY (2024).

[11] ROBERT H. BATES ET AL., ANALYTIC NARRATIVES (1998).

The case selection holds constant several features—common-law legal origins, sophisticated supervisory capacity, deep integration into dollar-based global finance, and stated ambitions to remain leading international financial hubs—while the jurisdictions differ in how authority over banking is divided, in the monetary privileges of incumbent banks, in the regulator's role in financial infrastructure, and in monetary regime.[12] The relevant variation is therefore not whether these jurisdictions can regulate digital money, but how they allocate digital-money privileges across banks, trust companies, licensed issuers, and wholesale settlement infrastructures. The jurisdictions also differ in polity and in the international role of their currencies: the United States is a federal state that issues the main reserve currency, while Hong Kong and Singapore are small open economies, and Hong Kong is a special administrative region of China. These differences are part of the institutional structure the comparison examines: the comparison identifies which legal techniques each architecture makes available and how each jurisdiction uses them to allocate digital-money privileges.

This Article draws on legal scholarship that treats banking as a set of separable functions and money creation as a public franchise. Awrey has analyzed the unbundling of banking, money, and payments.[13] This Article adds a comparative account of how three legal systems rebundle the separated functions. Hockett and Omarova describe money creation as a public franchise that the state grants to private institutions, and Menand and Ricks treat the national bank charter as the legal device for that franchise.[14] Part VI shows how the United States, Hong Kong, and Singapore

[12] ADAM PRZEWORSKI & HENRY TEUNE, THE LOGIC OF COMPARATIVE SOCIAL INQUIRY (1970).
[13] Dan Awrey, *Unbundling Banking, Money, and Payments*, 110 Geo. L.J. 715 (2022).
[14] Robert C. Hockett & Saule T. Omarova, *The Finance Franchise*, 102 Cornell L. Rev. 1143 (2017); Lev Menand & Morgan Ricks, *Federal Corporate Law and the Business of Banking*, 88 U. Chi. L. Rev. 1361 (2021).

allocate parts of that franchise among new and existing institutions through chartering, licensing, and infrastructure access.

This Article also contributes to three literatures. First, it builds on Gorton and Zhang's framing of stablecoins as a modern recurrence of nineteenth-century private money,[15] but argues that the "wildcat" analogy obscures as much as it reveals. As Harris and Rogoff observe, the United States is repeating something like the unresolved Free Banking era: entry remains divided among federal and state routes even after the GENIUS Act set licensing and reserve requirements for stablecoin issuers.[16] Hong Kong has anchored its first licenses in institutions tied to the commercial banks that issue its notes, an arrangement closer to that of the note-issuing banks of Scotland and Northern Ireland than to that of the Bank of England.[17] Singapore has organized the digital-money question around regulated institutional networks and central-bank-anchored wholesale settlement. Second, it engages the literature on public-private money equivalence pioneered by Brunnermeier and Niepelt,[18] and shows that the conditions under which equivalence holds are themselves regulatory artifacts that vary across the three jurisdictions. Third, it extends Calomiris and Haber's account of banking as political bargain[19] to the digital era: the question of who gets a charter has

[15] Gary B. Gorton & Jeffery Y. Zhang, *Taming Wildcat Stablecoins*, 90 U. CHI. L. REV. 909 (2023).

[16] Guiding and Establishing National Innovation for U.S. Stablecoins (GENIUS) Act, Pub. L. No. 119-27, 139 Stat. 419 (2025) (codified at 12 U.S.C. § 5901 et seq.); *see* Max Harris & Kenneth Rogoff, *Stablecoins and the Dollar: Historical Parallels and Future Risks*, 116 AEA Papers & Proc. 53 (2026).

[17] The Bank Charter Act 1844 (7 & 8 Vict. c. 32) concentrated note issue in the Bank of England and phased out private issuers in England and Wales. The Bank Notes (Scotland) Act 1845 (8 & 9 Vict. c. 38) and the Bankers (Ireland) Act 1845 (8 & 9 Vict. c. 37) let the existing Scottish and Irish banks keep issuing notes up to a certified amount, with gold and silver coin backing any issue above it, and Part 6 of the Banking Act 2009 (c. 1) now requires the Scottish and Northern Irish issuers to back all their notes in circulation. Those issuers are the closer parallel to Hong Kong's three commercial note issuers.

[18] Markus K. Brunnermeier & Dirk Niepelt, *On the Equivalence of Private and Public Money*, 106 J. MONETARY ECON. 27 (2019).

[19] CHARLES W. CALOMIRIS & STEPHEN H. HABER, FRAGILE BY DESIGN: THE POLITICAL ORIGINS OF BANKING CRISES AND SCARCE CREDIT (2014).

always been a political question, and the digital-money moment is producing a new generation of charter bargains whose distributional consequences are only beginning to surface.

I. Digital Money and the Unbundling of Banking

A. Bank-like functions in the digital era

The intellectual move underlying this Article is to treat a bank not as a single legal entity but as a bundle of economic functions that historical accident, regulatory convenience, and balance-sheet efficiency have brought under one roof.[20] The foundational statement of this functional perspective is Robert Merton's argument that financial systems are best understood through the six core functions those institutions collectively perform: (i) clearing and settling payments; (ii) pooling resources and subdividing shares; (iii) transferring resources across time and space; (iv) managing risk; (v) producing price and allocation information; and (vi) dealing with incentive problems arising from asymmetric information.[21] Merton's central claim — and the claim this Article extends to the digital-money moment — is that *functions are stable across time and geography, but the institutional forms that perform them are not*. The extension this Article offers is that, for bank-like functions, law more than efficiency decides which institutional forms may perform a given function.[22] For purposes of banking regulation, this Article translates Merton's general

---

[20] The functional perspective is most fully developed in Robert C. Merton, *A Functional Perspective of Financial Intermediation*, 24 Fin. Mgmt. 23 (1995), and in Dwight B. Crane et al., The Global Financial System: A Functional Perspective (1995). For a later extension of the functional approach to the design of financial institutions, see Robert C. Merton & Richard T. Thakor, *Customers and Investors: A Framework for Understanding the Evolution of Financial Institutions*, 39 J. Fin. Intermediation 4 (2019). For a multi-entity balance-sheet treatment of crypto-assets, stablecoins, central bank digital currency, and tokenized assets, *see* Wei Ye & Erick Rengifo, Balance Sheet Decomposition of Crypto, Stablecoin, Central Bank Digital Currency and Tokenized Assets, 13 J. Fin. Mkt. Infrastructures 123 (2026), https://www.risk.net/node/7964195.

[21] Merton, *supra* note 20, at 24–25. This Article specializes Merton's framework to banking by focusing on the four functions in which commercial banks have historically been dominant; for the full elaboration of all six functions across the financial system, see Crane et al., *supra* note 20.

[22] *Cf.* Lucian Arye Bebchuk & Mark J. Roe, *A Theory of Path Dependence in Corporate Ownership and Governance*, 52 Stan. L. Rev. 127 (1999).

functional perspective into five bank-like functions: (i) issuing money-like claims, (ii) settling payments, (iii) managing reserves and custody, (iv) transforming liquidity into credit, and (v) producing borrower-specific information through screening and monitoring. The traditional commercial bank bundles these functions inside a single chartered institution. It issues deposit liabilities, operates payment accounts, manages reserves and customer assets, uses deposits to fund loans, and produces private information about borrowers through repeated relationships. Digital money matters because it allows these functions to be performed by different legal entities under different regulatory regimes.[23]

The bundle is not natural. It is a response to information frictions, transaction costs, and legal constraints that have characterized banking since at least the seventeenth century.[24] Deposit-taking and lending were tied together because the same set of customer relationships supplied both the funding base and the borrower pool; payment and settlement were tied to deposit-taking because settlement was simply the rebalancing of deposit-liability claims across customers within and between banks; the chartered legal form provided the regulatory perimeter within which the entire bundle could be supervised.[25] In the language of Merton's framework, the bank was the institutional form that minimized the cost of jointly performing the five bank-like functions under a single supervisory umbrella. The bundle was efficient; it was not necessary.

Digital money technologies erode each of the complementarities that historically sustained the bundle, though not symmetrically. Blockchain and distributed ledgers allow payment and settlement to be performed without any single bank standing in the middle, and without that bank

---

[23] *See* Awrey, *Unbundling Banking, Money, and Payments, supra* note 13.

[24] On the historical origins of the bank as a bundled institutional form, see CALOMIRIS & HABER, *supra* note 19, ch. 2–3.

[25] *See generally* Hockett & Omarova, *supra* note 14.

also performing borrower screening as a side condition of issuing the payment instrument.[26] Programmable smart-contract settlement allows value to be transferred across time zones and institutional boundaries in real time.[27] Because such settlement gives up netting and must be prefunded, it increases the need for intraday liquidity and so raises the value of access to central bank settlement and intraday credit. A stablecoin issuer can move dollar-denominated claims across borders while holding reserves concentrated in government securities of short maturity, repo, and bank deposits. Such reserves reduce the maturity mismatch that defines depositor banking without eliminating liquidity risk, and their composition varies: Tether's disclosures include secured loans, gold, and bitcoin.[28] Tokenized custody and reserve management similarly separate safekeeping from deposit-taking.[29] A specialist custodian may hold private keys, segregate reserve assets, or administer tokenized claims without making loans or operating a deposit franchise. Brunnermeier, James, and Landau describe a parallel unbundling of the functions of money itself: medium of exchange, store of value, and unit of account[30].

The asymmetry within payment and settlement itself is instructive. Performing payment and settlement at the retail and inter-customer level is now possible for any entity with a sufficiently robust ledger; performing payment and settlement at the level of *central bank money* — that is, settling directly on Fedwire rather than through correspondent banks — has historically been

---

[26] Comm. on Payments & Mkt. Infrastructures, Bank for Int'l Settlements, *Distributed Ledger Technology in Payment, Clearing and Settlement: An Analytical Framework* (2017), https://www.bis.org/cpmi/publ/d157.pdf.

[27] BIS is exploring the application of this technology in Project Agorá. *See* Bank for Int'l Settlements, *Project* Agorá: Exploring Tokenisation of Cross-Border Payments, https://www.bis.org/about/bisih/topics/fmis/agora.htm.

[28] On near-instant, low-fee cross-border stablecoin transfers (subject to higher gas fees at peak times), see BVNK, *Blockchain Cross-Border Payments*, https://bvnk.com/blog/blockchain-cross-border-payments. On stablecoin issuers' reserve assets, see Circle, *Transparency*, https://www.circle.com/transparency Tether, *Transparency*, https://tether.to/en/transparency/

[29] Office of the Comptroller of the Currency, Interpretive Letter No. 1170 (July 22, 2020), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2020/int1170.pdf.

[30] Markus K. Brunnermeier, Harold James & Jean-Pierre Landau, *The Digitalization of Money* (Nat'l Bureau of Econ. Rsch., Working Paper No. 26300, 2019); *see also* Markus K. Brunnermeier & Jonathan Payne, *Platforms, Tokens, and Interoperability* (Princeton Univ. Econ. Dep't, Working Paper No. 2022-8, 2022).

limited to institutions eligible under the Federal Reserve Act.[31] That category includes some uninsured institutions, but in practice accounts have gone overwhelmingly to federally insured institutions, and uninsured applicants receive the most scrutiny. Kraken Financial's grant of a limited-purpose Federal Reserve master account in March 2026, the first Reserve Bank account granted to a crypto-native institution, is therefore a partial unbundling of central-bank settlement access from the traditional deposit-insurance bundle.[32] More importantly, the grant is structured to convey access to the Fedwire Funds Service, subject to a closing balance limit while withholding intraday credit and the lender-of-last-resort and interest-on-reserves elements that ordinarily accompany a full master account. The Federal Reserve, in other words, has begun unbundling its own provision of central-bankness in much the same way that digital money is unbundling the commercial bank. The denial of Custodia's parallel application in 2023, and the more than five-year duration of Kraken's process between charter and master account, suggest that the unbundling is being managed case by case, with wide discretion, within a general tiered framework.[33] The

---

[31] *See generally* Darrell Duffie, *Tokenized Finance and the Perimeter of Central Banking* (Aug. 22, 2026) (paper presented at the Fed. Rsrv. Bank of Kan. City Jackson Hole Econ. Pol'y Symp.), https://www.kansascityfed.org/documents/18556/duffie.pdf (arguing that stablecoins and tokenized commercial bank deposits are unsuitable for core-market settlement and that central banks are therefore reconsidering the perimeters of their payment systems and deposit accounts); *see also* Isabel Schnabel, Member of the Exec. Bd., Eur. Cent. Bank, *Central Banks On-Chain* (Aug. 28, 2026), https://www.ecb.europa.eu/press/key/date/2026/html/ecb.sp260828~fe9afc86e8.en.html.

[32] Press Release, Federal Reserve Bank of Kansas City, *Federal Reserve Bank of Kansas City Approves Limited Account* (Mar. 4, 2026). Kraken Financial is a Wyoming-chartered special-purpose depository institution operating on a full-reserve model and classified as a Tier 3 applicant under the Federal Reserve's 2022 Account Access Guidelines. Before that grant, crypto-native firms had relied on insured banks for payment services. Signature Bank, a New York state-chartered, FDIC-insured commercial bank, operated Signet, a 24/7 payment network used by its digital-asset clients, until the New York State Department of Financial Services closed it on March 12, 2023 and appointed the FDIC as receiver; the federal authorities invoked the systemic risk exception to protect all of its depositors. *See* FDIC, Failed Bank Information for Signature Bank, New York, NY (Mar. 12, 2023), https://www.fdic.gov/resources/resolutions/bank-failures/failed-bank-list/signature-ny.html; Cong. Rsch. Serv., R48430, Banking and Cryptocurrency: Policy Issues (Feb. 20, 2025), https://www.congress.gov/crs_external_products/R/PDF/R48430/R48430.5.pdf; Arthur E. Wilmarth, Jr., *We Must Protect Investors and Our Banking System from the Crypto Industry*, 101 Wash. U. L. Rev. 235 (2023).

[33] *Custodia Bank, Inc. v. Fed. Rsrv. Bd. of Governors*, 728 F. Supp. 3d 1227 (D. Wyo. 2024), *aff'd*, 157 F.4th 1235 (10th Cir. 2025), *petition for cert. filed*, No. 26-62 (U.S. July 10, 2026). On the broader institutional politics of master-account access, see Julie Andersen Hill, *Opening a Federal Reserve Account*, 40 Yale J. on Reg. 453 (2023).

Tenth Circuit upheld that discretion in Custodia, and the Board has proposed a "payment account" category that would convey access to payment services without interest, intraday credit, or discount-window access.[34]

Among the bank-like functions identified above, the combination most resistant to legal separation is deposit-funded relationship lending: demandable deposit liabilities funding illiquid loans that depend on private information about borrowers.[35] Lending as such has moved outside banks through nonbank mortgage origination, marketplace lending, and private credit, and crypto lenders such as Celsius, BlockFi, and Genesis lent without bank charters until they failed in 2022 and 2023. Because the institutions examined here are chartered, the observation concerns what their charters permit. Augustus fits this pattern: to combine deposits with lending, it sought a national bank charter with full banking powers and FDIC deposit insurance.[36] Its proposed full-service national bank model includes lending authority, but its public materials do not say how it will underwrite credit, although its positioning as a clearing bank for machine-mediated clients suggests automated rather than relationship-based lending.[37] The other crypto-native chartered entities — Circle, Ripple, BitGo, Paxos, Fidelity Digital Assets — have all received trust charters that explicitly exclude lending authority. The asymmetry is informative: trust charters have let

---

On the financial-stability implications of partial Federal Reserve access for stablecoin trust banks and SPDIs, see Ye & Rengifo, *supra* note 2. On "skinny" charters and limited forms of access to the banking perimeter, see David Zaring, *Skinny Charters: Rebuilding the Banking Regulatory Perimeter*, 50 J. Corp. L. 699 (2025); *Macro Musings*, *David Zaring on Skinny Charters and the Future of Banking* (Mercatus Ctr., May 25, 2026), https://www.mercatus.org/macro-musings/david-zaring-skinny-charters-and-future-banking.

[34] Custodia Bank, *supra* note 33; Proposed Revisions to the Federal Reserve Policy on Payment System Risk and the Guidelines for Account and Services Requests, 91 Fed. Reg. 30,627 (proposed May 26, 2026); Press Release, Bd. of Governors of the Fed. Rsrv. Sys., *Federal Reserve Board Requests Public Comment on a Proposal to Establish a "Payment Account"* (May 20, 2026), https://www.federalreserve.gov/newsevents/pressreleases/other20260520a.htm.

[35] Anil K. Kashyap, Raghuram Rajan & Jeremy C. Stein, Banks as Liquidity Providers: An Explanation for the Coexistence of Lending and Deposit-Taking, 57 J. Fin. 33 (2002).

[36] *See* FDIC, Order Approving Deposit Insurance, Augustus National Bank, N.A. (In Organization), Dallas, Tex. (July 31, 2026), *supra* note 5.

[37] *See infra* Part III.B.2 (discussing Augustus Bank's charter and business model).

crypto-native entrants separate payments and custody from the traditional bank, while deposit-funded lending still requires a charter with full banking powers.

The consequence for policy debate is that 'bank' has become an ambiguous term. When a regulator or commentator refers to the threat posed by 'new digital banks,' the phrase conflates institutions that perform very different subsets of the bank-like functions identified above. A trust bank that holds stablecoin reserves performs payment, safekeeping, and reserve-management functions without engaging in relationship lending and therefore does not pose the same credit-cycle risks as a traditional commercial bank. Its risks instead arise from reserve liquidity, redemption pressure, operational resilience, and settlement concentration. A fully-reserved narrow settlement bank performs payment and settlement without maturity transformation.[38] Like the trust bank, it remains exposed to liquidity and operational risk, and it also poses substantial substitution risk to incumbent commercial banks whose deposit funding base it competes for.[39] A regulator-led wholesale tokenization platform performs wholesale settlement while leaving deposit issuance, liquidity transformation, and borrower screening with the participating commercial banks. The taxonomy this Article develops in Part II takes the functional unbundling as its analytical starting point: each 'model' in the typology is defined by the legal technique through which a jurisdiction decides which entities may perform the functions that digital money has made separable.

B. Three concepts the literature still confuses

The functional perspective developed above clarifies a terminological problem that has persisted in the policy literature on digital money. Three terms — *stablecoin*, *tokenized deposit*, and *central*

[38] The Wyoming special purpose depository institution (SPDI) is the principal U.S. example of narrow banking. Unlike an OCC national trust bank, an SPDI may accept deposits, but it may not make loans, including temporary credit relating to overdrafts, and it must at all times hold unencumbered liquid assets valued at not less than 100% of its depository liabilities. *See* Wyo. Stat. Ann. §§ 13-12-103(b)(iv), (c), 13-12-105(a) (2026).

[39] George Pennacchi, *Narrow Banking*, 4 ANN. REV. FIN. ECON. 141 (2012).

bank digital currency — are often treated as variations on a theme, but they differ on the one dimension that matters most for banking regulation: *whose liability sits at the bottom of the chain when redemption is demanded*.[40] Awrey has recently argued that this question of liability-issuer identity is the central organizing question for the law of money in the digital era,[41] and the typology developed in this Article rests on the same premise.

A **stablecoin**, in the sense in which the term is now used by the OCC, the HKMA, and MAS, is a reserve-backed money-like claim that is redeemable at par against assets held by or on behalf of the issuer. It is typically issued outside the ordinary deposit-taking relationship, although recent bank-issued stablecoin initiatives—including SoFiUSD's launch as the first stablecoin issued by a U.S. national bank to launch on a banking platform on May 27, 2026—show that stablecoins are increasingly defined less by the legal status of the issuer than by the structure of the claim: par redemption, reserve backing, and circulation as a payment instrument.[42]

A stablecoin claim is not necessarily a bank deposit, and stablecoin issuance does not by itself confer the public-support bundle associated with insured commercial banking. In the canonical non-bank stablecoin model, the issuer has no access to central bank liquidity facilities, no deposit insurance, and no direct role in monetary policy transmission.[43] Where a bank issues a stablecoin,

---

[40] A recent example that combines a tokenized deposit and a stablecoin in a single instrument is the Hazel Network, developed by Vantage Bank and Custodia Bank. Each token begins as a tokenized deposit issued by a consortium member bank, and its legal character depends on who holds it: inside the consortium, it is a deposit of the issuing member bank, which the sponsors describe as FDIC-insured; once transferred outside the consortium, it becomes a stablecoin designed to comply with the GENIUS Act and backed at least one-to-one by cash and short-duration Treasury securities. *See* Press Release, Vantage Bank & Custodia, Vantage Bank and Custodia Release White Paper Unveiling "Hazel Network" (June 18, 2026), https://www.prnewswire.com/news-releases/vantage-bank-and-custodia-release-white-paper-unveiling-hazel-network-302804851.html.

[41] *See* Dan Awrey, *Bad Money*, 106 Cornell L. Rev. 1 (2020); *see also* Dan Awrey, *Money and Federalism*, 75 Duke L.J. 171 (2025).

[42] Press Release, SoFi Technologies, *SoFiUSD Becomes the First Stablecoin Issued by a U.S. National Bank to Launch on a Banking Platform* (May 27, 2026), https://investors.sofi.com/news/news-details/2026/SoFiUSD-Becomes-the-First-Stablecoin-Issued-by-a-US-National-Bank-to-Launch-on-a-Banking-Platform/default.aspx.

[43] Dan Awrey & Kristin van Zwieten, The Shadow Payment System, 43 J. Corp. L. 775 (2018).

the relevant legal question is not simply whether the issuer is a bank, but whether the tokenized claim receives the legal attributes of a bank deposit. The credit risk borne by the holder is therefore mediated by the issuer's balance sheet, the quality and segregation of the reserve pool, the custody structure, and the enforceability of the redemption right.

The legal and operational frameworks that emerged in 2023–2026—including the U.S. GENIUS Act, the Hong Kong Stablecoins Ordinance, and Singapore's stablecoin framework—converge on a similar prudential template: high-quality liquid reserves, segregation of reserve assets, redemption rights, governance standards, and capital requirements. They differ sharply, however, on the prior question of *who is allowed to issue at all*. In the United States, stablecoin issuance is increasingly mediated through a fragmented menu of bank charters, trust powers, supervisory permissions, and the issuer categories of the GENIUS Act. In Hong Kong, issuance is channeled through a selective licensing regime administered by the HKMA. In Singapore, regulated stablecoins exist within a broader strategy that treats them as complementary to tokenized bank liabilities and wholesale central bank money. This prior allocation of issuance privilege is the question this Article is about.

A **tokenized deposit** is different: it is a bank deposit liability, represented on a distributed ledger but intended to remain the same legal claim as the deposit it tokenizes. The holder of a tokenized deposit is a creditor of a chartered bank, not of a stablecoin issuer; the deposit (if eligible) is covered by deposit insurance; the bank has access to central bank facilities; and the deposit participates in monetary policy transmission in the standard way. The economic function of tokenization is to make the deposit programmable, transferable on a 24/7 basis, and interoperable with tokenized asset markets — not to alter the legal nature of the claim. JPMorgan's JPM Coin and JPMD product, the tokenized deposits issued by DBS under the SGD Testnet, and N3XT's

NDD product are all examples[44]; they differ in technical architecture but share the foundational feature that the underlying claim is a deposit liability of a regulated bank. The distinction matters because liquidity transformation and borrower-specific information production remain with the issuing bank in the tokenized-deposit case, whereas a stablecoin issuer typically performs payment, reserve-management, and redemption functions without engaging in relationship lending.[45]

A **wholesale central bank digital currency** (wholesale CBDC) is a liability of the central bank itself, accessible only to a defined set of regulated financial institutions, used for the settlement of large-value transactions between those institutions. It is not a retail payment instrument; ordinary consumers and corporates do not hold it directly[46] . Its function is to provide a settlement asset for tokenized transactions — particularly the 'cash leg' of tokenized securities trades — that is risk-free in the same sense that traditional central bank reserves are risk-free. The Singapore Dollar Testnet operated by MAS is an instance of this category, and the Hong Kong

---

[44] N3XT's NDD (N3XT Digital Dollar) is a more specialized variant: a deposit token with full reserves, issued by an uninsured Wyoming SPDI. The deposit insurance described in the text does not apply to it, and as an SPDI, N3XT has no assured access to central bank facilities. *See* Press Release, N3XT, *N3XT Launches First Tokenized U.S. Dollar to Enable Instant, Programmable Transaction Settlement on the Blockchain* (Apr. 21, 2026), https://www.businesswire.com/news/home/20260421943981/en; N3XT, *NDD*, https://n3xt.io/ndd.

[45] The GENIUS Act itself treats a deposit recorded on a distributed ledger as a deposit rather than a payment stablecoin. 12 U.S.C. § 5901(22)(B)(ii). The FDIC has likewise proposed to treat tokenized deposits as deposits under the Federal Deposit Insurance Act. *See* GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers and Insured Depository Institutions, 91 Fed. Reg. 18,534 (proposed Apr. 10, 2026). For a formal welfare analysis comparing stablecoins and tokenized deposits as instruments for blockchain-based trade, see Xuesong Huang & Todd Keister, *Stablecoins vs. Tokenized Deposits: The Narrow Banking Debate Revisited* (Fed. Rsrv. Bank of N.Y., Staff Report No. 1179, Feb. 2026), https://doi.org/10.59576/sr.1179.

[46] Retail CBDC is outside the scope of this article. It is usually defined as a central-bank liability available to the general public, but China's e-CNY 2.0 illustrates why the category can be more complex in practice. Under the new framework that took effect on January 1, 2026, balances in commercial-bank e-CNY wallets are treated as account-based commercial-bank liabilities, may bear interest, and are protected by deposit insurance on terms comparable to ordinary bank deposits. *See* Lu Lei (陆磊), *Shouzheng Chuangxin Wenbu Fazhan Shuzi Renminbi* (守正创新 稳步发展数字人民币) [*Upholding Fundamentals While Innovating, Steadily Developing the e-CNY*], Jingji Guancha Wang (经济观察网) [Econ. Observer] (Dec. 29, 2025), *reprinted in* Sina Fin., https://finance.sina.com.cn/roll/2025-12-29/doc-inhemqas8008548.shtml.

Project Ensemble pilot, which settles at first through the Hong Kong dollar real-time gross settlement system, is to move in stages to settlement in tokenized central bank money. The United States has no wholesale CBDC. The Federal Reserve Bank of New York has built research prototypes using a theoretical wholesale CBDC (Project Cedar, 2022-2023), and Executive Order 14178 bars federal agencies from promoting CBDCs.[47] No private entity issues a wholesale CBDC; the only question for private banks is whether they have access to it as a settlement asset. In functional terms, a wholesale CBDC is a pure settlement asset: it performs the payment-and-settlement function without combining it with deposit-taking, lending, reserve intermediation, or borrower screening.

The three instruments populate three different rungs of a balance-sheet hierarchy. At the top is central bank money, which under a wholesale CBDC regime can be held and transferred on-chain by eligible financial institutions. Below it sits commercial bank liabilities, which under tokenization regimes can be represented on-chain as tokenized deposits. Below those sits the non-bank issuer liabilities, which under stablecoin licensing regimes can be issued, redeemed, and transferred on-chain under prudential constraints. A stablecoin fully backed by reserves held at the central bank (a 'synthetic CBDC,' in Tobias Adrian's term) sits economically close to the top rung while remaining legally a private liability, and that proximity is one reason access to central bank accounts is contested.[48] The hierarchy is not new — it is the same hierarchy of money that has

---

[47] *See* Fed. Rsrv. Bank of N.Y., *Project Cedar Phase I: A Wholesale Central Bank Digital Currency Prototype* (Nov. 4, 2022); Fed. Rsrv. Bank of N.Y. & Monetary Auth. of Sing., *Project Cedar Phase II x Ubin+: Improving Cross-Border Payments with Blockchain* (May 18, 2023); Fed. Rsrv. Bank of N.Y. Innovation Ctr., *The Regulated Liability Network: U.S. Proof of Concept* (July 2023); Exec. Order No. 14,178, § 5(a), 90 Fed. Reg. 8647 (Jan. 31, 2025) (prohibiting agencies "from undertaking any action to establish, issue, or promote CBDCs within the jurisdiction of the United States or abroad").

[48] Tobias Adrian, Stablecoins, Central Bank Digital Currencies, and Cross-Border Payments: A New Look at the International Monetary System (speech, IMF–SNB Conference, Zurich, May 14, 2019), and Tobias Adrian & Tommaso Mancini-Griffoli, The Rise of Digital Money, IMF FinTech Note No. 19/01 (July 2019)

organized banking systems for two centuries[49] — but the question of where digital money instruments sit on it, and which entities are permitted to issue at each rung, has become contested in ways that have direct implications for who is permitted to operate as a bank. Part II builds a typology of the answers that the United States, Hong Kong, and Singapore have given to that question.

Table 1. Three Digital-Money Instruments

Instrument	Liability issuer	Core legal claim	Main regulatory question
Stablecoin	Licensed issuer, which may be a private issuer, bank affiliate, or bank	Redeemable reserve-backed money-like claim; not a bank deposit unless legally structured as one	Who may issue, how reserves are held, whether deposit law applies, and how redemption is enforced
Tokenized deposit	Commercial bank	Bank deposit liability represented on a programmable ledger	How deposit law, prudential supervision, and payment access apply on-chain
Wholesale CBDC	Central bank	Central bank liability used by eligible institutions for settlement	Who may access the settlement asset and on what terms

II. A Typology of Digital-Era Banking Models

Part I distinguished three digital-money instruments: stablecoins, tokenized deposits, and wholesale CBDC. Those instruments are defined by the identity of the liability issuer. This section shifts from instruments to institutional forms and regulatory grammar. The question is no longer what the digital-money claim is, but which type of legal entity is permitted to issue, custody, settle, or intermediate that claim, and through which regulatory mechanism.

The typology proceeds in three layers. The first layer is the *instrument layer*: stablecoin, tokenized deposit, or wholesale CBDC. The second layer is the *institutional-form layer*: the type

[49] Perry Mehrling, *The Inherent Hierarchy of Money*, in SOCIAL FAIRNESS AND ECONOMICS: ECONOMIC ESSAYS IN THE SPIRIT OF DUNCAN FOLEY 394 (Lance Taylor, Armon Rezai & Thomas Michl eds., 2013).

of entity or arrangement through which digital-money functions are performed. The relevant forms include incumbent commercial banks, trust banks, narrow settlement banks, licensed stablecoin issuers, and regulator-coordinated wholesale infrastructure platforms. The third layer is the *regulatory-grammar layer*: the jurisdiction-specific logic through which digital-money privileges are allocated. This Article identifies three such grammars: the U.S. charter-menu model, the Hong Kong licensed-incumbent model, and the Singapore wholesale-infrastructure model.

The distinction between these layers is important. Instruments are not institutions. A stablecoin is an instrument; a trust bank is an institutional form that may custody stablecoin reserves or provide stablecoin-related services. A tokenized deposit is an instrument; a narrow settlement bank is an institutional form that may issue a full-reserve tokenized deposit or deposit-like settlement claim. A wholesale CBDC is an instrument; a wholesale-infrastructure platform is an arrangement through which central bank money, tokenized bank money, and tokenized assets may interact. The purpose of the typology is to classify the legal mechanism through which a jurisdiction authorizes specific bank-like functions.

This layered approach also avoids apparent contradictions. HSBC, for example, may appear as an incumbent commercial bank when it issues tokenized deposits and as a licensed stablecoin issuer when it participates in Hong Kong's stablecoin regime. N3XT may be a narrow settlement bank as an institutional form while issuing a tokenized deposit or deposit-like full-reserve claim as an instrument. These are not inconsistencies. They reflect different levels of analysis. The same institution may operate across instruments, but each jurisdiction tends to privilege a different regulatory grammar for deciding who may perform bank-like digital-money functions.

Table 2. Three Layers of the Typology

Layer	Classification question	Categories
Instrument	Whose liability is the digital-money claim?	Stablecoin; tokenized deposit; wholesale CBDC
Institutional form	What type of entity or arrangement performs the function?	Incumbent commercial bank; trust bank; narrow settlement bank; licensed stablecoin issuer; wholesale infrastructure platform
Regulatory grammar	How does the jurisdiction allocate digital-money privileges?	Charter-menu model; licensed-incumbent model; wholesale-infrastructure model

These three layers are analytically distinct but empirically connected. The instrument layer identifies the balance sheet on which the digital-money claim sits. The institutional-form layer identifies the entity or arrangement that performs the relevant bank-like functions. The regulatory-grammar layer identifies the legal mechanism through which the jurisdiction decides which entities may perform which functions.

The three regulatory grammars are ideal types. A jurisdiction may contain elements of more than one model, and the same institution may operate across more than one instrument. The aim is to identify the dominant legal grammar through which bank-like digital-money functions are authorized. Each grammar operates through a legal technique: chartering, licensing, or infrastructure access. A technique is dominant in a jurisdiction when it has binding legal effect and controls access to the privileges that matter for digital money there, such as issuing claims that circulate as money or settling them in central bank money. Pilots, sandboxes, and policy statements show the direction of policy; they count toward dominance through the binding law that connects them to the allocation of privileges. Part VI.C compares the three models along six legal dimensions, from the legal basis for authorization to the boundary of public support. The rest of

this section develops the three models and shows how each rebundles the functions that digital money has made technologically separable.

A. The charter-menu model

In the charter-menu model, digital-money privileges are allocated through differentiated entry into the banking system. The regulator does not select a single institutional form for digital money. Instead, firms choose among different legal forms depending on the subset of bank-like functions they wish to perform. The result is a menu of institutional forms: incumbent commercial banks issuing tokenized deposits, trust banks providing custody and reserve administration, narrow settlement banks offering full-reserve settlement claims, and *de novo* digital banks attempting to rebundle payments, deposits, treasury services, and lending.

The United States is the clearest example. Digital-money innovation there has not produced one new type of bank. It has produced several. JPMorgan represents the incumbent deposit-token strategy: a large commercial bank internalizes programmable settlement by tokenizing its own deposit liabilities. National trust bank charters represent a different strategy: digital-asset firms enter the federal banking perimeter for custody, reserve administration, and settlement-related functions without becoming full-service deposit-taking lenders.[50] Narrow settlement banks represent another type of institution: they separate payments and settlement from credit intermediation by holding safe assets against tokenized deposit-like liabilities. *De novo* digital banks such as Augustus represent the most ambitious form: they seek to rebundle digital-asset services, payments, deposits, treasury management, and lending inside a new full-service bank charter.

[50] The Independent Community Bankers of America (ICBA) has challenged the OCC's authority to charter national trust banks that conduct substantial non-fiduciary business. *See supra* note 9.

Congress added a statutory layer to this menu in the GENIUS Act. The Act routes stablecoin issuance through categories built on the menu's charters and chartering authorities: a subsidiary of an insured depository institution; an uninsured national bank, nonbank entity, or federal branch approved by the OCC; or, for an issuer with no more than $10 billion outstanding, an entity approved by a state regulator. An issuer's charter, or the chartering authority that approves it, still determines who may issue a payment stablecoin and on what terms. The Act also follows the distinctions in Part I: it excludes deposits, including deposits recorded on a distributed ledger, from the definition of a payment stablecoin, and it bars issuers from paying interest or yield to holders.[51]

The charter-menu model does not correspond to a single instrument. It is a regulatory grammar that permits multiple instruments and institutional forms to coexist. Incumbent commercial banks may issue tokenized deposits. Trust banks may support stablecoin issuance through custody and reserve management. Narrow settlement banks may issue full-reserve tokenized deposits or deposit-like settlement claims. Full-service digital banks may combine payment, deposit, custody, treasury, and lending functions under a new charter. The common feature is the legal mechanism: bank-like privileges are allocated through charter choice.

The charter-menu model has two consequences. First, it expands the regulatory perimeter by allowing non-traditional firms to acquire bank-like status. Second, it creates boundary problems because similar economic functions may be performed under different legal forms. Tokenized deposit, stablecoin, and full-reserve settlement token may all provide 24/7 dollar settlement, but they sit on different balance sheets and imply different claims on public support. The central regulatory problem in this model is therefore which charter should carry which privileges.

---

[51] 12 U.S.C. §§ 5901(11), (22)(B)(ii), (23), (31), 5903(a)(11), (c)(1).

B. The licensed-incumbent model

The licensed-incumbent model allocates digital-money privileges through a narrow licensing regime rather than through a broad menu of bank charters. The regulator authorizes a small number of issuers to perform specific money-like functions, typically subject to reserve, redemption, capital, governance, and segregation requirements. Unlike the charter-menu model, the licensed-incumbent model does not encourage institutional proliferation. Its purpose is to make digital-money issuance possible while keeping it close to the existing monetary and banking architecture.

The key institutional form is the licensed stablecoin issuer. The relevant instrument is the stablecoin; the relevant institutional choice is to place stablecoin issuance in the hands of a small number of credible, incumbent-linked issuers. The licensed issuer performs a limited subset of bank-like functions: it issues a redeemable money-like claim, manages or arranges the reserve pool, and provides a payment instrument. It does not generally perform relationship lending, deposit-funded credit creation, or broad maturity transformation. The digital-money claim is thus brought inside a licensing perimeter without being converted into an ordinary bank deposit.

The licensed-incumbent model therefore differs from the charter-menu model in both entry logic and market structure. The U.S. model asks which charter should carry which monetary privilege. The Hong Kong model asks which issuers are sufficiently credible to be allowed to issue regulated digital money at all. A licensing regime could, in principle, be open and pluralistic. Hong Kong's version is more selective. By placing the first licensed issuers close to major banking and monetary institutions, the regime uses incumbent credibility to stabilize a new digital-money instrument. Hong Kong's Stablecoins Ordinance sets no limit on the number of licenses and does not reserve them for banks; the model's incumbent character describes how the HKMA has administered licensing so far.

The incumbent character of the model matters. Stablecoins resemble money but are not bank deposits. Their credibility depends on the legal quality of the reserve pool, the enforceability of redemption rights, and the regulator's willingness to control who may issue. The licensing regime therefore works as a credibility filter. It permits digital-money innovation while preventing the issuance function from becoming fully open-ended. Compared with the charter-menu model, it produces less institutional diversity but greater regulatory control over the identity of issuers.

The licensed-incumbent model also reflects a different understanding of competition. In the charter-menu model, competition occurs among institutional forms: commercial banks, trust banks, narrow banks, and digital *de novo* banks compete to perform different bank-like functions. In the licensed-incumbent model, competition is narrowed at the point of issuance. The regulator allows stablecoin issuance, but only through entities that satisfy a high threshold of credibility, governance, reserve quality, and supervisory legibility. The result is the incorporation of digital-money issuance into an incumbent-centered monetary architecture.

C. The wholesale-infrastructure model

The wholesale-infrastructure model answers the digital-money question differently. Rather than authorizing new issuers or new banks, the regulator builds or coordinates a settlement infrastructure within which incumbent financial institutions use tokenized money to settle tokenized assets. In this model, the core regulatory object is the infrastructure. Bank participation is channeled through permissioned networks, wholesale CBDC experiments, tokenized bank liabilities, and central-bank-supervised settlement arrangements.

Singapore's approach emphasizes Project Guardian, the SGD Testnet, tokenized bank liabilities, and wholesale settlement rather than an open-ended proliferation of new digital banks. The participating institutions remain banks or regulated financial institutions; the innovation lies

in the settlement architecture through which tokenized claims are transferred. A wholesale CBDC or central-bank-backed settlement asset performs the payment-and-settlement function, while deposit issuance, lending, customer relationships, and borrower screening remain with the participating commercial banks.

The wholesale-infrastructure model is defined by the regulator's decision to organize tokenized settlement through permissioned infrastructures. The instrument may be tokenized bank money, a wholesale CBDC, or another settlement asset recognized within the infrastructure. The institutional form is a public-private network through which regulated financial institutions interact. The regulatory grammar is therefore infrastructural: the key question is who can access the settlement layer and on what terms.

The wholesale-infrastructure model therefore does not so much unbundle the bank as reorganize the rails on which banks interact. It allows tokenized asset markets to develop without requiring every payment instrument to be issued by a private stablecoin issuer or every new entrant to obtain a bank charter. In this sense, it is more conservative than the U.S. charter-menu model but more infrastructurally ambitious than a simple licensing regime. It treats digital money as a problem of market infrastructure, interoperability, and settlement finality.[52]

The central regulatory problem in this model is governance of the settlement layer. If digital assets are to move on programmable ledgers, what asset settles the cash leg? Who has access to that asset? Which institutions can participate in the network? What role does central bank money

[52] Interoperability and settlement finality were central themes of the 2026 Jackson Hole Economic Policy Symposium. Duffie argued that, without a high degree of interoperability between traditional and novel large-value payment-and-settlement systems, fragmentation will slow the growth of tokenized finance. In her discussion, Schnabel emphasized that settlement in central bank money on programmable ledgers should be atomic, with all legs of a transaction settling at once or not at all. How to economize on the liquidity that prefunded, atomic settlement requires remains an open question. *See* Duffie, *supra* note 31; Schnabel, *supra* note 31.

play in preserving finality and confidence? The wholesale-infrastructure model answers these questions by keeping the most settlement-critical layer close to the public sector while allowing commercial banks to innovate at the interface with tokenized markets.

D. Comparing the three regulatory grammars

The three models differ because they allocate monetary privileges differently. The U.S. charter-menu model allocates privileges through institutional entry: firms obtain different charters depending on which bank-like functions they wish to perform. The Hong Kong licensed-incumbent model allocates privileges through selective authorization: a small number of issuers are allowed to issue regulated stablecoins under close supervisory control. The Singapore wholesale-infrastructure model allocates privileges through access to regulated settlement networks: banks participate in digital money through infrastructure rather than through new charters or broad issuer licensing.

Table 3. Digital Money and the Legal Rebundling of Bank-like Functions

Jurisdiction	Legal mechanism	Institutional outcome	What is rebundled
United States	Charter allocation	Charter-menu model	Bank-like functions are distributed across multiple charter types
Hong Kong	Issuer licensing	Licensed-incumbent model	Stablecoin issuance is tied to a small number of credible incumbent-linked institutions
Singapore	Infrastructure governance	Wholesale-infrastructure model	Settlement is coordinated through permissioned public-private infrastructure

Each model is also associated with a different market structure. The charter-menu model produces institutional diversity: multiple digital-era bank forms coexist and compete. The licensed-incumbent model produces selective concentration: a small number of large, credible issuers dominate the regulated stablecoin space. The wholesale-infrastructure model produces

network governance: competition runs among infrastructures, standards, and participating financial institutions.

The typology can be summarized as follows. In the United States, the same digital-money instrument may be routed through different institutional forms because the regulatory grammar is charter-based. In Hong Kong, the stablecoin instrument is routed through selective issuer licensing because the regulatory grammar is credibility-based and incumbent-anchored. In Singapore, the instrument question is subordinated to infrastructure governance because the regulatory grammar is settlement-based. Digital money therefore does not generate a single institutional future for banking. It generates a set of jurisdiction-specific legal choices about which functions are separated, which are recombined, and which entities are allowed to perform them.

The following case studies explain why each jurisdiction selected a different legal technique for allocating digital-money privileges.

III. The United States: Charter Competition and Institutional Diversity

The United States exemplifies the charter-menu model. Digital-asset firms, incumbent commercial banks, and state-chartered special-purpose institutions have entered or adapted to the digital-money space through differentiated charter pathways, with the same broad banking framework producing markedly different bundles of bank-like privilege depending on which functions the institution seeks to perform. The resulting institutional diversity reflects a plural design. Congress extended that design to stablecoin issuance in the GENIUS Act. The OCC, the Fed, the FDIC, and state banking departments continue to make different and sometimes contradictory choices about which entities may perform which functions, and that fragmented architecture made a plural design the one available. Part III.A examines the GENIUS Act, which adds a statutory layer to the menu. Part III.B examines the federal charter pathway that has produced both function-limited national

trust banks and full-service de novo national banks. Part III.C turns to the incumbent deposit-token strategy pursued by large commercial banks. Part III.D examines the state-chartered pathways and access to Federal Reserve accounts. Part III.E considers why the menu took this form and why no actor has consolidated it.

A. The statutory layer: the GENIUS Act

Congress added a statutory layer to the charter menu in the GENIUS Act.[53] The Act routes stablecoin issuance through three categories of permitted issuer, each tied to an existing chartering authority: a subsidiary of an insured depository institution, a federal qualified issuer approved by the OCC, and a state qualified issuer.[54] The federal category covers a nonbank entity, an uninsured national bank chartered by the OCC, and a Federal branch, and each must obtain the OCC's approval under § 5904 before it may issue. A national trust bank therefore has a statutory route to issuance, but belonging to the category does not itself confer authority to issue, and the route is distinct from the question of what the trust charter itself permits (see Part III.B). Because a nonbank entity may use the same route without any bank charter, the federal category is in substance an activity license layered on the charter menu rather than a new charter. The OCC's December 2025 trust bank approvals fit this design. They also show how much the path depends on agency policy: the conditional approvals the OCC granted to digital-asset firms in 2021 were followed by several years in which no comparable charters issued.[55]

---

[53] *See supra* note 16 (Pub. L. No. 119-27).

[54] 12 U.S.C. § 5901(23)(A)–(C); id. § 5901(11)(A)–(C) (defining federal qualified issuers to include a nonbank entity, an uninsured national bank, and a Federal branch, each "approved by the Comptroller, pursuant to section 5904").

[55] On the December 2025 approvals, *see supra* note 2. The December 2025 approvals were the first of their kind since the OCC conditionally approved Anchorage Digital Bank, Paxos National Trust, and Protego Trust Company in 2021. *See* Arthur S. Long, Parag Patel, Pia Naib, Connor Jobes & Deric Behar, *OCC Continues to Move Digital Assets Into the Banking System*, Latham & Watkins Glob. Fintech & Digit. Assets Blog (Dec. 18, 2025), https://www.fintechanddigitalassets.com/2025/12/occ-continues-to-move-digital-assets-into-the-banking-system/.

The state option is the federalist side of the menu. A state qualified issuer with no more than $10 billion in outstanding payment stablecoins may remain under state supervision if the Stablecoin Certification Review Committee approves the state regulator's certification that the state regime is substantially similar to the federal framework.[56] The Secretary of the Treasury chairs the Committee, and the Chair of the Federal Reserve Board (or the Vice Chair for Supervision) and the Chair of the FDIC sit on it.[57] The Committee generally acts by a two-thirds vote, but it approves a state's regime only on a unanimous determination that the regime meets or exceeds the federal standards.[58] An issuer that grows past $10 billion must, within 360 days, transition to federal oversight, stop issuing new stablecoins until it falls back below the threshold, or obtain a waiver.[59]

Two provisions draw the line between stablecoins and deposits. The Act bars issuers from paying holders "any form of interest or yield . . . solely in connection with the holding, use, or retention" of a payment stablecoin.[60] The ban reaches issuers only, and whether exchanges and affiliates may pay yield on stablecoin balances remains disputed. Congress has tried to settle that dispute. Section 404 of the Senate Banking Committee's version of the Digital Asset Market Clarity Act (CLARITY Act) would bar digital asset service providers and their affiliates from paying yield on payment stablecoin balances that is economically or functionally equivalent to deposit interest, while permitting rewards tied to activities such as payments and transfers. The House passed the bill in July 2025, but a Senate cloture vote on the motion to proceed failed, 49

[56] 12 U.S.C. § 5903(c)(1), (4)–(5).
[57] *Id.* § 5901(27)(A).
[58] *Id.* §§ 5901(27)(B), 5903(c)(5)(A)(i); *see also id.* § 5903(c)(4), (7).
[59] *Id.* § 5903(d)(1)–(3); *see infra* Part VII.C.
[60] 12 U.S.C. § 5903(a)(11).

to 50, on September 15, 2026, and the bill has not been enacted.[61] Until Congress acts, implementing rules and enforcement will draw the line between permitted rewards and prohibited yield. The GENIUS Act also settles the holder's position in failure: holders rank ahead of all other creditors in the required reserves, and in the issuer's bankruptcy, holder claims that the reserves do not cover take first priority to the extent the issuer held less than the reserves the Act requires.[62]

The Act takes effect on the earlier of January 18, 2027, or 120 days after the primary federal payment stablecoin regulators issue any final regulations implementing it.[63] All four primary federal payment stablecoin regulators have proposed rules. The OCC finalized its rule on October 21, 2026, effective January 18, 2027, while the FDIC, Federal Reserve, and NCUA rules remain proposals as of this writing. Because 120 days after the OCC's final rule falls after January 18, 2027, the statutory date will control.[64] The Act also connects the U.S. regime to Hong Kong and

---

[61] Digital Asset Market Clarity Act, H.R. 3633, 119th Cong. § 404 (as reported by S. Comm. on Banking, Hous., & Urb. Affs., June 1, 2026); H.R. 3633, 119th Cong. (as passed by House, July 17, 2025) (passed 294–134); Senate Roll Call Vote No. 234, 119th Cong. (Sept. 15, 2026) (cloture on the motion to proceed, not invoked, 49–50); *see* H.R. 3633 — Digital Asset Market Clarity Act of 2025, Congress.gov, https://www.congress.gov/bill/119th-congress/house-bill/3633.

[62] *12 U.S.C. § 5910(1); GENIUS Act § 11(d), Pub. L. No. 119-27, 139 Stat. 419, 458 (2025) (adding 11 U.S.C. § 507(e), effective on the Act's effective date); see infra* Part VI.C.

[63] GENIUS Act § 20, Pub. L. No. 119-27, 139 Stat. 419, 466 (2025) (codified at 12 U.S.C. § 5901 note).

[64] *See Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the Office of the Comptroller of the Currency, 91 Fed. Reg. 67,000 (Oct. 23, 2026) (to be codified at 12 C.F.R. pts. 3, 6, 8, 15, 19) (final rule, effective Jan. 18, 2027) [hereinafter OCC GENIUS Final Rule]; News Release 2026-92, Off. of the Comptroller of the Currency, OCC Advances U.S. Digital Asset Leadership with Final Rule to Implement GENIUS Act (Oct. 21, 2026), https://www.occ.gov/news-issuances/news-releases/2026/nr-occ-2026-92.html; OCC Bulletin 2026-50 (Oct. 21, 2026); see also 91 Fed. Reg. 10,202 (proposed Mar. 2, 2026) (OCC proposed rule); OCC Bulletin 2026-3 (Feb. 25, 2026); Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism and Sanctions Compliance Risk Management, 91 Fed. Reg. 37,840 (proposed June 24, 2026) (OCC); OCC Bulletin 2026-28 (June 22, 2026); Approval Requirements for Issuance of Payment Stablecoins by Subsidiaries of FDIC-Supervised Insured Depository Institutions, 90 Fed. Reg. 59,409 (proposed Dec. 19, 2025); GENIUS Act Requirements and Standards for FDIC-Supervised Permitted Payment Stablecoin Issuers and Insured Depository Institutions, 91 Fed. Reg. 18,534 (proposed Apr. 10, 2026); FDIC, FIL-12-2026 (Apr. 7, 2026); Investments in and Licensing of Permitted Payment Stablecoins Issuers, 91 Fed. Reg. 6531 (proposed Feb. 12, 2026) (NCUA); Implementing the Guiding and Establishing National Innovation for U.S. Stablecoins Act for the Issuance of Stablecoins by Entities Subject to the Jurisdiction of the National Credit Union Administration, 91 Fed. Reg. 28,956 (proposed May 18, 2026); Implementing the Federal Reserve Board's Responsibilities Under the GENIUS Act, 91 Fed. Reg. 61,580 (proposed Sept. 29, 2026).*

Singapore. A foreign issuer may offer payment stablecoins in the United States only if the Secretary of the Treasury, on the recommendation of the other members of the Committee, determines that its home regime is comparable, and only if the issuer registers with the OCC and holds reserves in U.S. financial institutions sufficient to meet the liquidity needs of U.S. customers.[65]

The OCC's final rule bears on the charter menu in three ways. First, it confirms the trust-bank route to issuance. The OCC read the inclusion of uninsured national banks among federal qualified issuers as "a clear indication that Congress intended for national trust banks to be able to apply to be permitted payment stablecoin issuers and to issue payment stablecoins," while holding that the rule "does not change the scope of permissible activities for national trust banks": a trust bank that issues must meet the requirements for both a national bank and a permitted issuer, and all its activities must remain trust company operations or activities related to them.[66] The question that community banks have put to the courts therefore now has an answer in a binding rule, not only in conditional approvals. Second, the rule leaves the line between permitted rewards and prohibited yield to supervision. The OCC dropped the rebuttable presumption it had proposed, under which certain payments by affiliates and related third parties would have been presumed to violate the yield ban, and will judge such arrangements on their facts under its anti-evasion authority.[67] Third, the rule turns the liquidity of reserves into a legal requirement. An issuer must hold at least 5 percent of its reserve assets as demand deposits, funds in share accounts payable on demand, or

---

[65] 12 U.S.C. § 5916(a)–(d).

[66] OCC GENIUS Final Rule, *supra* note 64, 91 Fed. Reg. at 67,035. The OCC also declined a commenter's request to rescind its trust-bank approvals, stating that they "were properly taken under 12 U.S.C. 27(a) and 92a." *Id.* On the pending challenge, *see supra* note 9.

[67] OCC GENIUS Final Rule, *supra* note 64, 91 Fed. Reg. at 67,026–27; 12 C.F.R. § 15.10(c)(4), (6) (effective Jan. 18, 2027).

balances at a Federal Reserve Bank, down from the 10 percent the OCC had proposed, and must redeem within two business days.[68]

B. The federal charter pathway: trust banks and full-service banks

The OCC has used its existing chartering authority under the National Bank Act, principally 12 U.S.C. §§ 21–27, together with its authority over national bank powers and fiduciary activities, to admit digital-asset firms into the federal banking perimeter without seeking new legislation.[69] The process has unfolded through a sequence of interpretive letters and conditional charter approvals that, taken together, yield two distinct federal sub-pathways: a trust-bank route, function-limited and lending-excluded, and a full-service route, function-complete and lending-inclusive. The choice between them depends on which bank-like functions the applicant wishes to perform. Both routes arise within the OCC's National Bank Act chartering framework, but they use that framework to produce different functional bundles.

1. The trust-bank route

The trust-bank route was opened by a sequence of OCC interpretive letters issued between 2020 and 2021. Interpretive Letters 1170, 1172, and 1174 established which digital-asset activities national banks may conduct, and Interpretive Letter 1179 also addressed the OCC's authority to charter national trust banks. Interpretive Letter 1170 authorized national banks to provide

---

[68] OCC GENIUS Final Rule, *supra* note 64, 91 Fed. Reg. at 67,056–57, 67,065; 12 C.F.R. §§ 15.11(c)(2)(i), 15.12(c)(1) (effective Jan. 18, 2027).

[69] 12 U.S.C. § 27(a) authorizes the Comptroller to issue a certificate permitting a national banking association to commence the business of banking and recognizes national banks whose operations are limited to those of a trust company and related activities. National banks' corporate powers are set out in 12 U.S.C. § 24, and their banking and incidental powers principally in § 24 (Seventh). National banks' fiduciary or trust powers are governed principally by 12 U.S.C. § 92a and OCC regulations at 12 C.F.R. pt. 9. *See generally* Saule T. Omarova, *Dealing with Disruption: Emerging Approaches to Fintech Regulation*, 61 WASH. U. J.L. & POL'Y 25, 33–40 (2020); Zaring, *Skinny Charters, supra* note 33. Menand & Ricks, *supra* note 14.

cryptocurrency custody services on behalf of customers.[70] Interpretive Letter 1172 confirmed that national banks may hold deposits constituting reserves backing stablecoin issuances.[71] Interpretive Letter 1174 authorized national banks to use independent node verification networks and stablecoins for payment activities.[72] Interpretive Letter 1179, issued late in 2021, imposed a prior-non-objection requirement on national banks seeking to engage in these activities, conditioning permissibility on demonstrated risk management and supervisory acquiescence.[73] That requirement was rescinded in March 2025 by Interpretive Letter 1183, which stated that the activities addressed in Interpretive Letters 1170, 1172, and 1174 would instead be examined as part of the OCC's ordinary supervisory process.[74] The OCC has continued to build on this foundation: in 2025 it confirmed that national banks may hold crypto-assets as principal to pay network fees and may engage in riskless principal crypto-asset transactions, and in 2026 it

---

[70] OCC Interpretive Letter No. 1170, *supra* note 29.

[71] Office of the Comptroller of the Currency, *OCC Chief Counsel's Interpretation on National Bank and Federal Savings Association Authority to Hold Stablecoin Reserves*, Interpretive Letter No. 1172 (Sept. 21, 2020), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2020/int1172.pdf.

[72] Office of the Comptroller of the Currency, *OCC Chief Counsel's Interpretation on National Bank and Federal Savings Association Authority to Use Independent Node Verification Networks and Stablecoins for Payment Activities*, Interpretive Letter No. 1174 (Jan. 4, 2021), https://www.occ.gov/news-issuances/news-releases/2021/nr-occ-2021-2a.pdf.

[73] Office of the Comptroller of the Currency, *Chief Counsel's Interpretation Clarifying: (1) Authority of a Bank to Engage in Certain Cryptocurrency Activities; and (2) Authority of the OCC to Charter a National Trust Bank*, Interpretive Letter No. 1179 (Nov. 18, 2021), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2021/int1179.pdf.

[74] OCC Interpretive Letter No. 1183, *OCC Letter Addressing Certain Crypto-Asset Activities* (Mar. 7, 2025), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2025/int1183.pdf (rescinding Interpretive Letter 1179 and stating that the OCC "will examine the activities described in Interpretive Letters 1170, 1172, and 1174 as part of its ongoing supervisory process"); *see also* News Release 2025-16, OCC, *OCC Clarifies Bank Authority to Engage in Certain Cryptocurrency Activities* (Mar. 7, 2025), https://www.occ.gov/news-issuances/news-releases/2025/nr-occ-2025-16.html. The OCC later amended its chartering rule to confirm that national trust banks may engage in non-fiduciary activities. National Bank Chartering, 91 Fed. Reg. 9977 (Mar. 2, 2026) (codified at 12 C.F.R. § 5.20). *But see* Arthur E. Wilmarth, Jr., *Policy Brief: The OCC Has Violated Four Federal Statutes by Allowing National Trust Banks to Engage in Crypto-Related Nonfiduciary Activities, Including the Issuance of Stablecoins* (Geo. Wash. Univ. L. Sch. Legal Stud. Rsch. Paper No. 2026-39, 2026), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=6789822 (arguing that 12 U.S.C. §§ 27(a) and 92a limit national trust banks to fiduciary activities, so that the OCC's charter approvals for crypto-focused national trust banks violate federal law). The ICBA takes the same view. *See supra* note 9.

concluded that the National Bank Act preempts state money-transmitter licensing for an uninsured national trust bank.[75]

On December 12, 2025, the OCC conditionally approved five national trust bank applications on a single day.[76] Two were *de novo* national trust bank charters: First National Digital Currency Bank, N.A., associated with Circle, and Ripple National Trust Bank, N.A. Three were conversions from state trust companies to national trust banks: BitGo Bank & Trust, N.A., Fidelity Digital Assets, N.A., and Paxos Trust Company, N.A.[77] The approvals brought major digital asset firms closer to federal bank supervision without requiring them to become full-service deposit-taking lenders; for the three converting firms, a federal charter replaced the state charter under which they had previously operated.[78]

---

[75] OCC Interpretive Letter No. 1176, OCC Chief Counsel's Interpretation on National Trust Banks (Jan. 11, 2021), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2021/int1176.pdf (the letter at the center of the challenge described in note 9); OCC Interpretive Letter No. 1184, Clarification of Bank Authority Regarding Crypto-Asset Custody Services (May 7, 2025), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2025/int1184.pdf; OCC Interpretive Letter No. 1186, Authority of National Banks to Hold Crypto-Assets as Principal and Pay Crypto-Asset Network Fees as Incidental to a Permissible Banking Activity (Nov. 18, 2025), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2025/int1186.pdf; OCC Interpretive Letter No. 1188, National Bank Engagement in Riskless Principal Transactions in Crypto-Assets (Dec. 9, 2025), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2025/int1188.pdf; OCC Interpretive Letter No. 1192, *supra* note 78; *see also* National Bank Chartering, *supra* note 74.

[76] Office of the Comptroller of the Currency, *OCC Announces Conditional Approvals for Five National Trust Bank Charter Applications*, *supra* note 2.

[77] *See* Office of the Comptroller of the Currency, Conditional Approval Nos. 1353, 1355, 1356, 1358 & 1359 (Dec. 12, 2025).

[78] Why firms seek a national trust charter rather than remain state-chartered is itself debated. Proponents emphasize that a national charter replaces a patchwork of state trust and money-transmitter regimes with a single federal supervisor and nationwide reach. The OCC has since concluded that the National Bank Act preempts state money-transmitter licensing requirements as applied to Fidelity Digital Assets, N.A., an uninsured national trust bank that converted from a New York trust company in December 2025. See OCC Interpretive Letter No. 1192, Applicability of State Money Transmitter Licensing Requirements (May 12, 2026), https://www.occ.gov/topics/charters-and-licensing/interpretations-and-decisions/2026/int1192.pdf. A national charter does not, however, carry automatic access to Federal Reserve accounts and payment services, which remains subject to the Reserve Banks' discretion. *See supra* note 33. Critics respond that the charter confers federal legitimacy and preemption while avoiding much of the prudential framework applicable to insured banks. *See supra* note 9; Wilmarth, *supra* note 74.

Three institutional features unite the five approvals. First, all five arise from the OCC's authority to charter national banks limited to trust-company operations and related activities, together with fiduciary powers under 12 U.S.C. § 92a. Second, all five are functionally limited. As national trust banks, the institutions are authorized to conduct trust-company operations and related activities—including custody, safekeeping, fiduciary services, reserve administration, and related payment or settlement services—rather than the full deposit-taking and lending business of an insured commercial bank. Third, because these institutions are not insured depository institutions, they do not automatically receive the ordinary bundle of public support associated with full-service commercial banking, including FDIC deposit insurance and ordinary discount-window access. Access to Federal Reserve accounts and payment services remains a separate question governed by Federal Reserve law and account-access policy.

The analytical significance of the trust-bank route is that it makes the unbundling thesis developed in Part I.A doctrinally concrete. The OCC has used the national trust bank form to authorize a defined subset of bank-like functions—custody, safekeeping, reserve administration, and related payment or settlement services—while excluding the credit-intermediation function that Part I.A identified as most resistant to unbundling. The trust-bank charter is, in functional terms, a partial federal banking charter: a license that conveys a curated bundle of monetary and custodial privileges rather than the full commercial-bank bundle.

2. The full-service route: Augustus and the lending exception

On May 8, 2026, the OCC granted preliminary conditional approval to charter Augustus National Bank, National Association, a proposed full-service insured national bank based in Dallas, Texas.[79] The approval was preliminary only: the bank may not open until it satisfies the OCC's preopening

[79] Office of the Comptroller of the Currency, Corporate Decision No. 1374, *supra* note 4.

requirements and applies for Federal Reserve Bank stock. The FDIC approved its application for deposit insurance on July 31, 2026, but as of this writing the bank remains in organization and has not received final OCC approval to open.[80] The contrast with the December 2025 trust-bank approvals is the central doctrinal datum of this section.

The Augustus approval follows the path that Erebor Bank, a full-service national bank for technology companies and users of virtual currencies, completed first: OCC preliminary conditional approval in October 2025, FDIC deposit insurance in December 2025, and opening in February 2026.[81] The approval also occurred against the background of a historically depressed *de novo* banking market: FDIC officials have noted that, since the start of 2010, only 86 new banks were formed over fifteen years, compared with no fewer than 93 in any single year between 1995 and 2007.[82]

The proposed bank's business plan is materially broader than the trust-bank route. According to the OCC's corporate decision, Augustus plans to operate as a full-service insured national bank offering deposit and lending products, a tokenized-deposit capability, payments and treasury services, digital-asset services, foreign correspondent banking, and Bank Identification Number sponsorship. It also plans to form a wholly owned stablecoin subsidiary, although the OCC noted that an application for that subsidiary has not yet been filed.[83] Augustus is positioned commercially

---

[80] FDIC, Order Approving Deposit Insurance, *supra* note 5; Press Release, FDIC, *supra* note 5.

[81] Erebor was organized to serve the technology and venture-backed clientele left without a specialist bank after Silicon Valley Bank failed in March 2023. The OCC's conditional approval letter describes Erebor as a full-service insured national bank that will target its products and services to technology companies and ultra-high-net-worth individuals that use virtual currencies. *See* Press Release, FDIC, FDIC Creates a Deposit Insurance National Bank of Santa Clara to Protect Insured Depositors of Silicon Valley Bank, Santa Clara, California (Mar. 10, 2023), https://www.fdic.gov/news/press-releases/2023/pr23016.html; News Release 2025-101, OCC, OCC Announces Conditional Approval for Chartering Erebor Bank (Oct. 15, 2025), https://www.occ.gov/news-issuances/news-releases/2025/nr-occ-2025-101.html.

[82] Travis Hill, Acting Chairman, FDIC, *View from the FDIC: Update on Key Policy Issues* (Apr. 8, 2025), https://www.fdic.gov/news/speeches/2025/view-fdic-update-key-policy-issues.

[83] Office of the Comptroller of the Currency, Corporate Decision No. 1374, *supra* note 4.

as a payment and clearing bank for institutional and machine-mediated clients, although its public materials do not say how it will underwrite credit.[84]

Augustus is analytically significant in three aspects, each connecting back to the framework developed in Part I. First, it is the partial exception that proves the rule of Part I.A. Augustus seeks lending authority, and its positioning suggests automated lending rather than the relationship-based credit production identified there as the principal obstacle to functional unbundling. Whether algorithmic underwriting can substitute for relationship-based monitoring remains an empirical question that the existing literature has not resolved.[85] What is institutionally significant is that the OCC has been willing to permit the experiment, signaling that even the function most resistant to unbundling is not categorically protected by federal chartering practice.

Second, Augustus is the upper bound of the charter menu. The trust-bank approvals show that the OCC is willing to admit digital-asset-native firms into the federal banking perimeter for limited custody, reserve, fiduciary, and settlement-related purposes. Augustus goes further. It shows that the OCC is willing, at least at the preliminary conditional-approval stage, to consider a full-service insured national bank model in which tokenized deposits, payments, treasury services, digital-asset services, and lending are rebundled inside a new national bank. The trust-bank route is consistent with a regulator that admits limited entrants for limited purposes; the Augustus route is consistent with a regulator that has accepted, in principle, that a broader national bank charter may be available to digital-asset-oriented applicants.

---

[84] *See* Press Release, Augustus, *supra* note 4 (describing Augustus as a clearing bank for global financial institutions that is "made for machines"). On the broader emergence of marketplace and algorithmic lending, see Boris Vallée & Yao Zeng, *Marketplace Lending: A New Banking Paradigm?*, 32 Rev. Fin. Stud. 1939 (2019).

[85] For evidence that bank-customer relationships contain information relevant to default risk, see Manju Puri, Jörg Rocholl & Sascha Steffen, *What Do a Million Observations Have to Say About Loan Defaults? Opening the Black Box of Relationships*, 31 J. FIN. INTERMEDIATION 1 (2017).

The trust-bank route and the Augustus route move in opposite directions. The former separates custody, safekeeping, reserve administration, and settlement-related services from deposit-taking and credit intermediation. The latter attempts to recombine tokenized deposits, payments, treasury services, digital-asset services, stablecoin infrastructure, and lending inside a single chartered institution. This contrast illustrates the central logic of the U.S. charter menu: the same regulator can both separate and recombine bank-like functions through conditional chartering decisions. Both routes are forms of legal rebundling in the sense used in this Article: in each, the charter decides which privileges and obligations attach to the functions the institution performs.

Third, the timing of Augustus approval signals a policy shift. The long post-crisis decline in *de novo* bank formation makes the approval itself an event requiring explanation, quite apart from its digital-asset features. Part III.E below argues that the timing of the resumption of chartering is consistent with political turnover at the federal banking agencies, including the OCC leadership transition completed in 2025, and that the fragmented structure of U.S. banking regulation shapes the menu itself.

3. Doctrinal common ground and analytical implication

Both federal routes arise within the OCC's National Bank Act chartering framework, but they use that framework to produce different functional bundles. The trust-bank route relies on the OCC's authority to charter national banks limited to trust-company operations and related activities, together with fiduciary powers under 12 U.S.C. § 92a. The Augustus route, by contrast, proceeds through the ordinary full-service insured national bank pathway under 12 U.S.C. §§ 21–27 and 12

CFR § 5.20, and requires satisfaction of the additional institutional conditions associated with Federal Reserve membership or stockholding and FDIC insurance.[86]

The U.S. charter menu is therefore not merely statutory pluralism. It is administrative pluralism within a flexible chartering framework. The OCC exercises discretion at the corporate-decision stage to define the functional bundle each charter conveys. For some applicants, that bundle consists of custody, reserve administration, fiduciary, and settlement-related services without lending. For others, it may include the full commercial-bank bundle of deposits, lending, payments, treasury services, and digital-asset activities. This is the federal half of the charter-menu picture. The state half, to which Part III.D now turns, adds further chartering authorities and shows how fragmented authority shapes the menu's plural design.

C. The incumbent pathway: deposit tokens and defensive rebundling

The federal charter pathway is only one part of the U.S. charter menu. A second path is available to institutions that already possess the full commercial-bank bundle. Large incumbent banks do not need to enter the banking perimeter through a new trust charter or a special-purpose charter. They are already inside it. Their strategic problem is different: how to prevent stablecoins, narrow settlement banks, and crypto-native trust banks from peeling payment and settlement functions away from the deposit franchise. The incumbent response is defensive rebundling: making bank deposits programmable so that corporate clients do not need to leave the bank balance sheet to obtain 24/7 settlement.[87]

---

[86] Arthur E. Wilmarth, Jr., The OCC's and FDIC's Attempts to Confer Banking Privileges on Nonbanks and Commercial Firms Violate Federal Laws and Are Contrary to Public Policy, 39 Banking & Fin. Servs. Pol'y Rep., no. 10, Oct. 2020.

[87] AI agents acting for customers present a related threat to the deposit franchise. In October 2026, several of the largest U.S. banks restricted third-party AI agents from logging into customer accounts or initiating transactions. JPMorgan Chase announced that it would not allow outside agents to access customer accounts, and Citigroup and Bank of America adopted similar restrictions. The banks cited security and unresolved liability for agent-initiated

JPMorgan's deposit-token strategy illustrates this path. JPM Coin and its JPMD formulation are designed as USD-denominated deposit tokens backed by J.P. Morgan deposits rather than as stablecoins issued by a non-bank issuer.[88] The instrument makes an existing bank liability capable of circulating on programmable rails, without creating a new issuer outside the bank. In the language of Part II, the instrument is a tokenized deposit, the institutional form is an incumbent commercial bank, and the regulatory grammar is charter-based because the activity is routed through an already-chartered institution.

The incumbent pathway therefore differs from the trust-bank route in both legal posture and competitive purpose. Trust banks obtain a limited-purpose national bank charter to perform custody, reserve, and settlement-related functions without lending. Incumbent banks already possess the full bundle and selectively digitize the parts most exposed to substitution. Rather than unbundling deposit issuance from the commercial bank, they rebundle programmable payment into the deposit claim itself. A corporate treasurer who can use a programmable bank deposit for near-real-time settlement has less reason to migrate balances into a stablecoin, a non-bank payment token, or a narrow settlement bank.

---

payments, but a further concern is that agents could automatically sweep idle balances from low- or non-interest-bearing accounts into higher-yielding alternatives, eroding the low-cost deposits that fund bank lending. *See* JPMorgan Chase & Co., Third-Quarter 2026 Earnings Call (Oct. 13, 2026) (remarks of Jamie Dimon), https://www.fool.com/earnings/call-transcripts/2026/10/13/jpmorgan-chase-jpm-q3-2026-earnings-call-transcript/; *JPMorgan Chase Blocks Outside AI Agents Like Muse, Instinct from Directly Accessing Accounts*, CNBC (Oct. 13, 2026), https://www.cnbc.com/2026/10/13/jpmorgan-ai-agents-account-access.html; *Citi Becomes Latest US Bank to Restrict AI Agents from Accessing Accounts*, Fin. Times (Oct. 16, 2026), https://www.ft.com/content/f49c8e39-f07f-4177-9948-aabe55e5ed91.

[88] *See* Press Release, Digital Asset & Kinexys by J.P. Morgan, *Digital Asset and Kinexys by J.P. Morgan Announce Intention to Bring USD JPM Coin (JPMD) Natively to the Canton Network* (Jan. 7, 2026), https://blog.digitalasset.com/news/digital-asset-and-kinexys-by-j.p.-morgan-bring-usd-jpm-coin-jpmd-natively-to-canton; Press Release, Canton Network, *J.P. Morgan's Deposit Token to Be Issued Natively on Canton Network* (Jan. 7, 2026), https://www.canton.network/news/j.p.-morgans-deposit-token-to-be-issued-natively-on-canton-network.

The incumbent pathway also clarifies why the U.S. charter menu cannot be reduced to crypto-native entry. Some of the most important digital-money experiments occur inside existing banking organizations. The charter-menu model therefore includes both new entrants seeking bank-like status and incumbents using existing bank status to protect their franchise. This duality is central to the U.S. case. The same regulatory environment that permits crypto-native firms to seek national trust charters also permits incumbent banks to internalize tokenization as an extension of ordinary deposit, payment, and treasury-management business.

In functional terms, the incumbent pathway is the mirror image of the trust-bank route. The trust-bank route separates custody and reserve administration from lending. The incumbent route recombines settlement innovation with the full commercial-bank balance sheet. The result is an upgraded incumbent bank: the traditional deposit franchise is preserved while the settlement interface is modernized. This is why JPMorgan belongs in the U.S. charter-menu model even though it does not need a new charter. The relevant allocation mechanism is still charter-based. The difference is that the charter already exists.

D. The state-chartered pathway: trust companies, SPDIs, and limited Federal Reserve access

A third path runs through state banking law. Wyoming's SPDI regime created a state-chartered form designed for digital-asset firms that want to provide custody, settlement, and payment services while operating on a full-reserve basis.[89] The SPDI is not a full-service commercial bank in the traditional sense. It is a depository institution under state law, but its business model is designed to separate payment and custody from deposit-funded lending. In the language of this

[89] *See generally* Wyoming Special Purpose Depository Institutions Act, WYO. STAT. ANN. §§ 13-12-101 to -126.

Article, the SPDI is an institutional form that makes the narrow settlement-bank strategy legally available.

New York supplied an early working state route for regulated U.S. dollar stablecoins. On September 10, 2018, the New York State Department of Financial Services (NYDFS) authorized two limited purpose trust companies it had chartered in 2015, Gemini Trust Company and Paxos Trust Company, to issue the Gemini Dollar and the Paxos Standard.[90] In its 2022 Guidance on the Issuance of U.S. Dollar-Backed Stablecoins, NYDFS turned the conditions attached to those approvals into general standards on redeemability, reserves, and monthly attestation by an independent certified public accountant.[91] The same route now feeds charter competition under the dual banking system. Three of the five national trust bank approvals of December 2025 converted state trust companies into uninsured national trust banks: BitGo Trust Company, Inc., a South Dakota trust company; Fidelity Digital Asset Services, LLC, a New York limited liability trust company, which converted into Fidelity Digital Assets, N.A.; and Paxos Trust Company, LLC, a New York limited purpose trust company.[92] Each conversion moved a firm that had built its business under state supervision onto the federal charter menu.

The state pathway matters because a state charter alone does not settle the question of access to federal settlement infrastructure. The central controversy is Federal Reserve account access. A state SPDI may be able to hold customer assets, provide custody, and offer digital-asset-related services, but direct settlement in central bank money depends on whether a Federal Reserve Bank

[90] Press Release, N.Y. State Dep't of Fin. Servs., DFS Continues to Foster Responsible Growth in New York's FinTech Industry with New Virtual Currency Product Approvals (Sept. 10, 2018). NYDFS chartered itBit Trust Company, later renamed Paxos Trust Company, in May 2015 and Gemini Trust Company in October 2015.

[91] N.Y. State Dep't of Fin. Servs., Industry Letter, Guidance on the Issuance of U.S. Dollar-Backed Stablecoins (June 8, 2022).

[92] *See supra* note 2; 12 U.S.C. § 35; 12 C.F.R. § 5.24.

grants an account and access to Federal Reserve services under the Board's Account Access Guidelines.[93] This creates a two-stage legal architecture: state law can create the institutional form, but federal law controls access to the most valuable settlement privilege.[94]

The contrast between Custodia and Kraken illustrates the point. Custodia Bank, a Wyoming SPDI, sought access to a Federal Reserve master account but was denied, leading to litigation over the Federal Reserve's account-access discretion.[95] Kraken Financial, by contrast, received a limited-purpose Federal Reserve account from the Federal Reserve Bank of Kansas City on March 4, 2026.[96] The Kansas City Fed emphasized that Kraken Financial is a Wyoming-chartered SPDI, that it was treated as a Tier 3 applicant under the Board's Account Access Guidelines,[97] and that the limited-purpose account was approved for an initial term of one year subject to restrictions tailored to Kraken's business model and risk profile.

The Kraken approval is significant because it partially unbundles central-bank settlement access from the ordinary insured-depository-institution bundle. It does not give Kraken the same public-support package available to a full-service insured commercial bank. According to Kraken, the account gives access to the Fed's wholesale payment system while withholding features such as interest on reserve balances and access to emergency Federal Reserve lending, although the

---

[93] Board of Governors of the Fed. Rsrv. Sys., Guidelines for Evaluating Account and Services Requests, 87 Fed. Reg. 51,099 (Aug. 19, 2022) (adopted Aug. 15, 2022), https://www.federalregister.gov/documents/2022/08/19/2022-17885/guidelines-for-evaluating-account-and-services-requests.

[94] See supra note 48 and accompanying text.

[95] Custodia Bank, *supra* note 33. *See also* Julie Andersen Hill, *supra* note 33.

[96] Press Release, Federal Reserve Bank of Kansas City, *Federal Reserve Bank of Kansas City Approves Limited Account* (Mar. 4, 2026), https://www.kansascityfed.org/newsroom/2026-news-releases/federal-reserve-bank-of-kansas-city-approves-limited-account/.

[97] For the three-tier framework, under which Tier 3 covers eligible institutions lacking both federal insurance and federal oversight and each application receives case-by-case, risk-focused review by the administrative Reserve Bank, *see* Vincent Brennan, *Explaining the Federal Reserve's Master Accounts*, Open Vault (Fed. Rsrv. Bank of St. Louis, June 24, 2026), https://www.stlouisfed.org/open-vault/2026/june/explaining-federal-reserves-master-accounts; *see also* Account Access Guidelines, *supra* note 93.

Kansas City Fed itself has disclosed only that the account is subject to restrictions.[98] The result is neither full exclusion nor full inclusion. It is a limited, risk-conditioned form of access that mirrors the partial-charter logic of the national trust bank route.

The SPDI pathway therefore adds a state-federal dimension to the charter menu. A state can create an institutional form that separates custody, payment, and settlement from lending, but the Federal Reserve decides whether that form may connect directly to central bank money. The resulting model is fragmented by design. State banking departments can experiment with new institutional forms; regional Federal Reserve Banks and the Board of Governors can restrict or condition access to the federal settlement layer; the FDIC can remain outside if the entity is uninsured. No single regulator controls the whole bundle.

Analytically, the state pathway reinforces the Article's central claim that digital-era banking in the United States is produced through fragmented allocation of bank-like functions. Wyoming supplies the institutional form, the Federal Reserve controls settlement access, and the absence of FDIC insurance limits the public safety-net bundle. The narrow settlement-bank model is therefore not simply a private business model. It is a product of intergovernmental regulatory bargaining over which pieces of the banking bundle may be separated and which must remain attached to the traditional insured bank. Chartering is the dominant technique in the United States: the issuer categories of the GENIUS Act, described in Part III.A, rest on the menu's chartering authorities, and charter status decides which institutions are eligible for Federal Reserve accounts and, together with holding company structure, in which tier of the Account Access Guidelines they fall.

---

[98] Hannah Lang & Pete Schroeder, *Crypto Giant Kraken's Fed Payment Account Sparks Concerns About Risks*, REUTERS (Apr. 10, 2026), https://www.reuters.com/legal/transactional/crypto-giant-krakens-fed-payment-account-sparks-concerns-about-risks-2026-04-10/; see also Ye & Rengifo, *supra* note 2.

E. The architecture of fragmentation: why the charter menu emerged

The preceding subsections described the institutional forms that make up the U.S. charter menu: the payment stablecoin issuer categories of the GENIUS Act, national trust banks, full-service national banks, incumbent deposit-token banks, and state-chartered trust companies and SPDIs. The final question is why the United States produced this menu rather than a single coherent digital-money model. Much of the answer lies in the structure of U.S. banking regulation. Authority over bank entry, deposit insurance, central bank account access, payment services, and digital-asset supervision is divided among agencies with different statutory mandates, political constituencies, and institutional incentives.

The OCC controls national bank chartering. It can admit new firms into the federal banking perimeter and define, through conditional approvals and interpretive practice, the functional bundle that a particular charter conveys. The Federal Reserve controls access to master accounts and Federal Reserve payment services, and it supervises bank holding companies and state member banks. The FDIC controls federal deposit insurance and therefore decides whether a new chartered institution receives the full public safety-net bundle associated with insured banking. State banking departments can create alternative institutional forms, such as Wyoming SPDIs, that test the boundaries of the federal system.[99] Because no single actor controls all these privileges, digital-money firms can seek entry through multiple doors.

This fragmented architecture explains why similar economic functions appear in different legal forms. A firm seeking to custody reserve assets may pursue a national trust charter. A firm seeking to provide full-reserve settlement may pursue a state SPDI charter and then seek Federal

[99] *Compare* Kenneth E. Scott, *The Dual Banking System: A Model of Competition in Regulation*, 30 Stan. L. Rev. 1 (1977), *with* Henry N. Butler & Jonathan R. Macey, *The Myth of Competition in the Dual Banking System*, 73 Cornell L. Rev. 677 (1988).

Reserve account access. An incumbent bank may tokenize its own deposits without obtaining a new charter. A *de novo* applicant may seek a full-service national bank charter that recombines digital-asset services, deposits, payments, treasury services, and lending. These are not random variations. They are rational responses to a regulatory environment in which different agencies control different pieces of the banking bundle.

The fragmentation also helps account for the mix of innovation and boundary disputes in the U.S. model. On one hand, the charter menu allows experimentation. Firms can match their desired function to a legal form: custody to a trust bank, settlement to an SPDI, programmable deposits to an incumbent bank, and full rebundling to a *de novo* national bank. On the other hand, the same multiplicity creates uncertainty about equivalence. If a stablecoin issuer, a tokenized-deposit bank, and a narrow settlement bank all provide dollar-denominated 24/7 settlement, should they receive the same access to public infrastructure? Should they face the same prudential requirements? Should similar monetary functions be regulated according to their economic effect or according to the charter through which they are performed?

The charter menu is therefore both a source of institutional diversity and a source of financial stability risk. Its benefit is adaptability: new forms can enter without Congress first designing a comprehensive digital-money statute. Its cost is perimeter instability: entities performing bank-like functions may receive some bank-like privileges without the full set of bank-like obligations. National trust banks may acquire federal bank status without deposit insurance or lending authority. SPDIs may seek direct settlement access without becoming insured commercial banks. Incumbent banks may tokenize deposits in ways that compete with stablecoins while remaining inside the traditional bank perimeter. Full-service digital banks may attempt to rebundle functions whose risks regulators have not yet observed through a full credit cycle. The menu is a plural

design, and Congress wrote a layer of it into statute in the GENIUS Act. Fragmented authority made that design the one available, and it keeps the perimeter of the menu unstable.

A rival explanation attributes the U.S. pattern to coordinated political change. The federal banking agencies tightened their stance on crypto assets together in early 2023 and relaxed it within seven weeks in the spring of 2025. The same Reserve Bank, applying the same Account Access Guidelines, denied Custodia's request in 2023 and granted Kraken a limited purpose account in 2026. The division of authority over charters and Reserve Bank accounts did not change between those dates; agency leadership and policy did, including the OCC leadership transition completed in 2025. The two explanations address different features of the menu: fragmented authority is consistent with its shape (the number of doors and the agencies that control them), and political turnover with its timing and size (the approvals of 2021, the freeze of 2022–2024, and the approvals of 2025–2026).

Table 4 summarizes the resulting U.S. charter menu and the different privileges and exclusions attached to each institutional form.

Table 4. The U.S. Charter Menu

Institutional form	Main legal pathway	Core bank-like functions	What is excluded or contested
Stablecoin subsidiary of an insured depository institution	GENIUS Act § 5901(23)(A); approval by the parent's primary federal payment stablecoin regulator	Payment stablecoin issuance, redemption, and reserve management	Interest or yield to holders (§ 5903(a)(11)); deposit insurance for stablecoin balances
Federal qualified issuer	GENIUS Act § 5901(23)(B); OCC approval of a nonbank entity or an uninsured national bank	Payment stablecoin issuance, redemption, and reserve management	Interest or yield to holders (§ 5903(a)(11)); deposit insurance; Federal Reserve account access not conferred by the Act
State qualified issuer	GENIUS Act § 5901(23)(C); state regime certified by the Stablecoin Certification Review Committee (§ 5903(c))	Payment stablecoin issuance, redemption, and reserve management	Interest or yield to holders (§ 5903(a)(11)); certification that the state regime meets or exceeds federal standards
National trust bank	OCC national trust charter	Custody, safekeeping, fiduciary services, reserve administration, settlement-related services	Deposit insurance, commercial lending, ordinary discount-window access
Full-service *de novo* national bank	OCC full-service national bank charter plus FDIC insurance and Federal Reserve requirements	Deposits, lending, payments, treasury services, digital-asset services, tokenized deposits	Final opening approval, stablecoin subsidiary approval, risks of new digital-asset business model
Incumbent commercial bank	Existing bank charter and supervisory permissions	Tokenized deposits, payments, treasury services, settlement innovation	Boundary with stablecoins and non-bank payment tokens
Wyoming SPDI / narrow settlement bank	State SPDI charter plus Federal Reserve account-access process	Custody, full-reserve settlement, payment access where granted	Federal Reserve account access, deposit insurance, public safety-net privileges

The next case shows why Hong Kong did not produce the same menu. Its regulatory problem was how to preserve monetary credibility while allowing stablecoin issuance. The result was a licensed-incumbent model rather than a charter-menu model.

IV. Hong Kong: Bank-Anchored Digital Money under a Financial-Center Mandate

Hong Kong's regulatory response to digital money differs from the United States in its grammar. Where the United States allocates digital-money privileges through a menu of differentiated charters, Hong Kong allocates them through a narrow licensing regime designed to keep stablecoin issuance close to institutions already embedded in the city's monetary architecture. This section argues that the Hong Kong model is both a prudential response to stablecoin risks and a strategic deployment of licensing scarcity: by limiting the first licenses to institutions close to Hong Kong's incumbent monetary and banking structure, the HKMA turned digital-money issuance into a credibility signal for Hong Kong's financial-center strategy.

The relevant legal object in Hong Kong is therefore the stablecoin issuer license.

A. The Stablecoins Ordinance regime

The Stablecoins Ordinance (Cap 656) was passed by the Legislative Council on 21 May 2025 and came into operation on 1 August 2025.[100] It establishes a statutory framework for the issuance, offering, and marketing of fiat-referenced stablecoins in Hong Kong, administered by the Hong Kong Monetary Authority. The legislative history is instructive. The HKMA published a discussion paper on crypto-assets and stablecoins in January 2022, published conclusions in January 2023, and then, jointly with the Financial Services and the Treasury Bureau, consulted the public on a legislative proposal in December 2023 and published consultation conslucsions in July

[100] Stablecoins Ordinance, (2025) Cap. 656 (H.K.). *See also* Press Release, Hong Kong Monetary Authority, *Stablecoins Bill Passed by the Legislative Council* (May 21, 2025), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/05/20250521-3/; Press Release, Hong Kong Monetary Authority, *Implementation of Regulatory Regime for Stablecoin Issuers* (July 29, 2025), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/07/20250729-4/.

2024 before the statutory regime commenced in August 2025.[101] The Ordinance thus took about three and a half years from discussion paper to commencement, through a deliberate, staged process.

The architecture of the Ordinance is straightforward. It creates a licensing regime for fiat-referenced stablecoin issuers. A person may not issue a fiat-referenced stablecoin in Hong Kong, or actively market such issuance to the Hong Kong public, unless licensed by the HKMA. The regime also captures issuance of a stablecoin that purports to maintain a stable value by reference to the Hong Kong dollar, even where the issuance occurs outside Hong Kong.[102] Licensees must satisfy requirements concerning reserve assets, redemption, capital, governance, risk management, anti-money-laundering controls, and ongoing supervision.[103] In particular, the reserve pool must be composed of high-quality and high-liquidity assets, segregated from the issuer's other assets, and maintained at a value sufficient to meet redemption obligations. Holders must have a right to redeem at par, subject to conditions that are not unduly burdensome or unreasonable.

---

[101] Hong Kong Monetary Auth., *Discussion Paper on Crypto-assets and Stablecoins* (Jan. 12, 2022), https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2022/20220112e3a1.pdf; Hong Kong Monetary Auth., *Conclusion of Discussion Paper on Crypto-assets and Stablecoins* (Jan. 31, 2023), https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20230131e9a1.pdf; Hong Kong Monetary Auth. & Fin. Servs. & the Treasury Bureau, *Legislative Proposal to Implement the Regulatory Regime for Stablecoin Issuers in Hong Kong* (Consultation Paper, Dec. 2023), https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2023/20231227e4a1.pdf; Hong Kong Monetary Auth. & Fin. Servs. & the Treasury Bureau, *Consultation Conclusions on Legislative Proposal to Implement the Regulatory Regime for Stablecoin Issuers in Hong Kong* (July 2024), https://www.hkma.gov.hk/media/eng/doc/key-information/press-release/2024/20240717e3a1.pdf.

[102] Stablecoins Ordinance, (2025) Cap. 656 (H.K.). For the HKMA's summary of the scope of the licensing regime, see Press Release, Hong Kong Monetary Authority, *Implementation of Regulatory Regime for Stablecoin Issuers*, *supra* note 100.

[103] Hong Kong Monetary Auth., *Guideline on Supervision of Licensed Stablecoin Issuers* (Aug. 1, 2025), https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Guideline_on_supervision_of_licensed_stablecoin_issuers_eng.pdf; Hong Kong Monetary Auth., *Guideline on Anti-Money Laundering and Counter-Financing of Terrorism for Licensed Stablecoin Issuers* (Aug. 1, 2025), https://www.hkma.gov.hk/media/eng/doc/key-functions/banking-stability/aml-cft/Guideline_on_Anti-Money_Laundering_and_Counter-Financing_of_Terrorism_For_Licensed_Stablecoin_Issuers_eng.pdf; Hong Kong Monetary Auth., *Explanatory Note on Licensing for Stablecoin Issuers* (July 29, 2025), https://www.hkma.gov.hk/media/eng/doc/key-functions/ifc/stablecoin-issuers/Explanatory_Notes_on_Licensing_of_Stablecoin_Issuers_eng.pdf.

Three features of the regime as implemented are critical to the analysis that follows. First, the Ordinance does not establish a broad chartering menu. It establishes a specific licensing regime for a specific instrument: the fiat-referenced stablecoin. The statutory form is therefore different from the U.S. model. Hong Kong does not ask which of several banking charters should carry a given digital-money privilege; it asks which stablecoin issuers should be licensed at all. Second, the regime is selective by design. The HKMA's public statements around commencement emphasized that the initial licensing process would be cautious and that only a small number of licenses would be granted in the early stage.[104] The selectivity lies in the HKMA's administration: the Ordinance sets no limit on the number of licenses, and under section 15 the HKMA decides each application, granting a license only if satisfied that the statutory minimum criteria will be met. Third, the HKMA framed the regime as serving both prudential and strategic goals: safeguarding monetary and financial stability, while strengthening Hong Kong's status as an international financial center and digital-asset hub.[105]

The first feature defines the legal mechanism. The second defines the degree of scarcity. The third explains why scarcity is not merely a defensive tool. It is also a signal about the type of digital-money market Hong Kong wants to host.

Hong Kong also runs an infrastructure track. The HKMA announced Project Ensemble on March 7, 2024, opened its sandbox on August 28, 2024, and launched the Ensemble^{TX} pilot on November 13, 2025. Through 2026 the pilot settles transactions in tokenized deposits with real value, at first through the HKD RTGS system (CHATS), and is to be "progressively upgraded" to

---

[104] Eddie Yue, *Robust and Sustainable Development of Stablecoins*, HKMA INSIGHT (June 23, 2025), https://www.hkma.gov.hk/eng/news-and-media/insight/2025/06/20250623/.

[105] Press Release, Hong Kong Monetary Authority, *Implementation of Regulatory Regime for Stablecoin Issuers*, *supra* note 100.

settlement in tokenized central bank money around the clock.[106] Licensing is the dominant technique in Hong Kong: the Stablecoins Ordinance requires a license to issue, and section 9 confines retail offers to licensed issuers' stablecoins,[107] while Project Ensemble remains a pilot.

B. The first licensees: HSBC and Anchorpoint Financial

HKMA encouraged applicants seeking early consideration to submit applications by September 30, 2025, and later disclosed that it had received 36 applications.[108] On April 10, 2026, it granted the first two stablecoin issuer licenses under the Ordinance. The recipients were HSBC and Anchorpoint Financial Limited.[109] The selectivity was substantial: two licenses were granted from a first cohort of 36 applications, and the HKMA stated the same day that even if additional licenses were granted later, the total number would remain very limited.[110] The HKMA also said that it focused on applicants' "capability and experience in risk management as well as the commitment to comply with relevant rules and regulations in Hong Kong and other jurisdictions" and on their "ability to propose distinct use cases with viable business plans." In its words, Anchorpoint and

---

[106] *See* Press Release, H.K. Monetary Auth., *HKMA Unveils Project Ensemble to Support the Development of the Hong Kong Tokenisation Market* (Mar. 7, 2024), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/03/20240307-5/; Press Release, H.K. Monetary Auth., *HKMA Launches Project Ensemble Sandbox to Accelerate Adoption of Tokenisation* (Aug. 28, 2024), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2024/08/20240828-3/; Press Release, H.K. Monetary Auth., *HKMA Announces the New Phase of Project Ensemble to Support Real-Value Transactions in Tokenised Deposits and Digital Assets* (Nov. 13, 2025), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2025/11/20251113-3/.

[107] Stablecoins Ordinance, Cap. 656, §§ 8–9 (H.K.); Stablecoins Ordinance (Specification of Persons for Section 9(2)(b)(iii)) Notice, Cap. 656A (H.K.) (permitting stablecoins issued by unlicensed issuers to be offered only to professional investors); *see also* Press Release, H.K. Gov't, *LCQ10: Regulation of Digital Assets* (Sept. 10, 2025), https://www.info.gov.hk/gia/general/202509/10/P2025091000338.htm (only "permitted offerors" may offer specified stablecoins, and stablecoins of licensed issuers may be offered to both retail and professional investors).

[108] *Eddie Yue, Robust Development of the Regulated Stablecoin Ecosystem in Hong Kong, HKMA inSight (Apr. 10, 2026), https://www.hkma.gov.hk/eng/news-and-media/insight/2026/04/20260410/.*

[109] Press Release, Hong Kong Monetary Authority, *Granting of Stablecoin Issuer Licences* (Apr. 10, 2026), https://www.hkma.gov.hk/eng/news-and-media/press-releases/2026/04/20260410-4/; Hong Kong Monetary Authority, Register of Licensed Stablecoin Issuers, *supra* note 6.

[110] Yue, supra note 108.

HSBC "have demonstrated their capabilities to properly manage risks with credible use cases and development plans."[111]

The institutional profile of the first two licensees is at least consistent with the incumbent-anchoring logic. HSBC is one of Hong Kong's three note-issuing banks and has issued Hong Kong dollar banknotes since 1865.[112] Anchorpoint Financial Limited is a joint venture involving Standard Chartered Bank (Hong Kong) Limited, HKT, and Animoca Brands; Standard Chartered Bank (Hong Kong) is also one of the three note-issuing banks and traces its Hong Kong note-issuing role to the 1860s.[113] The two licensees thus correspond to institutions connected to two of the three commercial banks currently authorized to issue Hong Kong dollar banknotes. The third note-issuing bank, Bank of China (Hong Kong), did not receive a license in the first round.

The analogy to note issuance is more than rhetorical. Hong Kong's note-issuing banks issue banknotes against Certificates of Indebtedness issued by the Financial Secretary for the account of the Exchange Fund. Under Hong Kong's linked exchange rate system, the market exchange rate is maintained within a Convertibility Zone of HK$7.75–7.85 per US$1. Separately, the note-issuing banks obtain and redeem Certificates of Indebtedness for banknote issuance against U.S. dollars at HK$7.80 per US$1.[114] This architecture makes commercial-bank note issuance a private-public hybrid: the visible note bears the name of a commercial bank, but the monetary credibility

---

[111] *Id.*

[112] Hong Kong Monetary Authority, *History of Note-Issuing Banks in Hong Kong*, https://www.hkma.gov.hk/eng/key-functions/money/hong-kong-currency/money-past-and-present/history-of-note-issuing-banks-in-hong-kong/.

[113] Press Release, Standard Chartered, *Standard Chartered-Backed Anchorpoint Granted Stablecoin Issuer Licence by the Hong Kong Monetary Authority* (Apr. 10, 2026), https://www.sc.com/en/press-release/standard-chartered-backed-anchorpoint-granted-stablecoin-issuer-licence-by-the-hong-kong-monetary-authority/; Hong Kong Monetary Authority, *History of Note-Issuing Banks in Hong Kong*, *supra* note 112.

[114] Hong Kong Monetary Authority, *Linked Exchange Rate System*, https://www.hkma.gov.hk/eng/key-functions/money/linked-exchange-rate-system/; Hong Kong Monetary Authority, *Hong Kong Currency: Notes*, https://www.hkma.gov.hk/eng/key-functions/money/hong-kong-currency/notes/.

of the instrument is anchored in the Exchange Fund and the linked exchange rate system. The analogy has a limit. The note-issuing banks' notes are backed through the Exchange Fund, while licensed stablecoins are backed only by reserves held by or for the issuer. What carries over from note issuance is the issuer's legibility and reputation; the public backing stays with the notes.

The HKMA itself drew a conceptual connection between historical private money and contemporary stablecoins before the first licenses were granted. In a December 2023 inSight article, the HKMA chief executive described pre-1935 banknotes issued by Hong Kong's commercial banks in exchange for deposited silver as a form of private money and compared stablecoins to contemporary blockchain-based private money requiring issuer regulation.[115] The first licensing decisions made that analogy institutional. The right to issue regulated digital money was granted first to institutions whose historical role in Hong Kong's monetary architecture was already legible to markets, regulators, and the public.

Standard Chartered's own statement on the grant of Anchorpoint's license made the institutional logic of the selection explicit. The bank described the license as bringing together its heritage as Hong Kong's oldest note-issuing bank with its digital asset development capabilities.[116] The framing is significant. Standard Chartered did not present the license only as a fintech achievement. It presented it as a continuation of its monetary role in Hong Kong. The HKMA's licensing decision and the licensee's own self-presentation therefore converge on a single point: in Hong Kong, digital-money issuance is anchored in institutions whose credibility is inseparable from the city's existing monetary architecture. The HKMA's stated criteria do not mention note

[115] Eddie Yue, *Stablecoins—Regulating Issuers to Accord Protection to Users*, HKMA INSIGHT (Dec. 27, 2023), https://www.hkma.gov.hk/eng/news-and-media/insight/2023/12/20231227/.

[116] Press Release, Standard Chartered, *Standard Chartered-Backed Anchorpoint Granted Stablecoin Issuer Licence by the Hong Kong Monetary Authority*, *supra* note 113.

issuance. That the first licensees' link with the note-issuing banks shaped their selection is this Article's interpretation, and it is consistent with the criteria: a regulator that assesses capability and credibility as a whole will find institutions with a long record as note issuers especially legible.

C. Why incumbent anchoring? Three explanations

Three explanations for the licensed-incumbent model warrant consideration. The first is monetary credibility under the linked exchange rate system. This explanation is necessary but incomplete: it explains why stablecoins require strict regulation, but not why the first licenses were granted to institutions so closely connected to Hong Kong's note-issuing architecture. The second is financial-center strategy: selective licensing turns regulated stablecoin issuance into a credibility signal for Hong Kong as a digital-asset hub. The third is regulatory architecture: unlike the United States, Hong Kong lacks a fragmented dual banking system capable of generating a charter menu. The licensed-incumbent model is therefore both a strategic choice and an institutional equilibrium.

The currency-credibility account proceeds as follows. Because the Hong Kong dollar operates under the linked exchange rate system, any privately issued HKD-referenced money instrument could affect confidence in the currency if it were poorly reserved, weakly redeemable, or operationally fragile. Stablecoins must therefore be tightly regulated. Both licensees plan initially to issue stablecoins referenced to the Hong Kong dollar, so the first coins under the Ordinance carry that risk to the currency.[117] This account is persuasive as far as it goes. It explains the Ordinance's reserve, redemption, segregation, and supervision requirements. It also explains why the HKMA was unwilling to permit a loosely supervised stablecoin market. But it does not explain the full observed outcome. A reserve-backed licensing regime could protect currency credibility

[117] *See Yue, supra note 108.*

while still admitting a larger and more diverse set of issuers. The fact that the first licenses went to institutions close to the note-issuing architecture is a residual that the currency-credibility account alone does not explain.

The financial-center-strategy account is consistent with that residual. Hong Kong's stated policy goal has been to remain a leading international financial center under conditions of intensifying competition from Singapore, Dubai, and other jurisdictions for digital-asset business. The Stablecoins Ordinance is one instrument of that policy. Licensing scarcity is therefore both prudential and strategic. It filters applicants by risk-management capacity and supervisory credibility, while also producing a signaling effect: the first licensed issuers are institutions whose names are already associated with Hong Kong's monetary and financial-center identity. The licensing decision is thus a statement of financial-center positioning. Digital money in Hong Kong is presented as a regulated continuation of the city's monetary history.

The third explanation operates at a deeper institutional level. Hong Kong does not have a dual banking system. There is one banking regulator, the HKMA, whose authority extends across all authorized institutions; there are no state-equivalent regulators and no competing federal regulators with parallel chartering authority. Hong Kong's deposit insurer, the Deposit Protection Board, is a separate statutory body, but under the Deposit Protection Scheme Ordinance it performs its functions through the HKMA[118] The fragmented regulatory architecture that Part III.E identified as the structural precondition for the U.S. charter-menu model is absent. Even if the HKMA had wished to develop a charter-menu equivalent, the institutional materials for such a menu—multiple chartering authorities, overlapping jurisdictions, regulator-level political competition, and separate

[118] Deposit Protection Scheme Ordinance, (2004) Cap. 581, § 6 (H.K.).

control over bank entry, deposit insurance, and central-bank account access—are not present in Hong Kong.

The HKMA admits institutions through several entry categories. Under the Banking Ordinance (Cap. 155), it authorizes institutions in three tiers, which a 2026 bill would reduce to two, and in 2019 it granted banking licenses to eight virtual banks. It also licenses non-bank issuers of stored value facilities, such as AlipayHK, WeChat Pay HK, and HKT's Tap & Go. The incumbent profile of the first stablecoin licensees is therefore a choice within a technique that admits other issuers: the strategic deployment of licensing scarcity that this Part describes. These categories differ from the U.S. charter menu because one authority allocates all of them and bank entry in every tier runs through one ordinance.

Digital-asset policy is more dispersed: the Securities and Futures Commission (SFC) regulates virtual asset trading platforms and tokenized products, the Financial Services and the Treasury Bureau sets policy, the Financial Secretary controls the Exchange Fund, and under PRC sovereignty mainland regulators can shape which firms apply.[119] The SFC's stablecoin role lies in

---

[119] *See Anti-Money Laundering and Counter-Terrorist Financing Ordinance, Cap. 615, pt. 5B, § 53ZRD (H.K.) (requiring a person carrying on a business of providing a virtual asset service, including operating a virtual asset exchange, to be licensed by the SFC); Sec. & Futures Comm'n, Circular on Tokenisation of SFC-Authorised Investment Products (Apr. 20, 2026), https://apps.sfc.hk/edistributionWeb/gateway/EN/circular/doc?refNo=26EC22; Press Release, H.K. Gov't, Second Policy Statement on Development of Digital Assets Issued to Scale Hong Kong to New Heights of Global Digital Asset Leadership (June 26, 2025), https://www.info.gov.hk/gia/general/202506/26/P2025062600269.htm (announcing the Financial Services and the Treasury Bureau's Policy Statement 2.0 on the Development of Digital Assets in Hong Kong); Exchange Fund Ordinance, Cap. 66, § 3(1) (H.K.) (establishing the Exchange Fund "under the control of the Financial Secretary"); Chinese Tech Giants Pause Stablecoin Plans After Beijing Steps In, FT Reports, Reuters (Oct. 19, 2025) (reporting, citing the Financial Times, that the People's Bank of China and the Cyberspace Administration of China instructed firms including Ant Group and JD.com not to proceed with Hong Kong stablecoin plans); see also Zhongguo Renmin Yinhang Deng Ba Bumen Guanyu Jinyibu Fangfan he Chuzhi Xuni Huobi Deng Xiangguan Fengxian de Tongzhi (中国人民银行等八部门关于进一步防范和处置虚拟货币等相关风险的通知) [Notice of the People's Bank of China and Seven Other Departments on Further Preventing and Handling Risks Related to Virtual Currencies], Yin Fa [2026] No. 42 (promulgated and effective Feb. 6, 2026), https://www.pbc.gov.cn/tiaofasi/144941/3581332/2026020619591971323/index.html (China) (providing that, without approval by the relevant authorities, no entity or individual, domestic or foreign, may issue renminbi-pegged stablecoins outside mainland China, and that domestic entities and offshore entities they control may not issue virtual currencies abroad).*

distribution, since platforms it licenses are permitted offerors under section 9 of the Ordinance.[120] None of these bodies licenses banks or stablecoin issuers.

The licensed-incumbent model is therefore not simply the model the HKMA preferred. It is the model made available by Hong Kong's consolidated regulatory architecture. This observation is the analytical complement to Part III.E. The U.S. charter menu and the Hong Kong licensed-incumbent regime are both equilibria, but they are equilibria of structurally different regulatory architectures. In the United States, fragmented authority permits institutional diversity. In Hong Kong, consolidated authority makes selective licensing the natural regulatory instrument.

Two other explanations deserve weight. Large banks with long histories in Hong Kong are likely to meet the HKMA's stated criteria. Mainland policy may also matter: in October 2025, according to press reports citing unnamed sources, the People's Bank of China and the Cyberspace Administration of China told Ant Group and JD.com not to proceed with their Hong Kong stablecoin plans, and both paused them.[121] That guidance may help account for a first round of licensing with no issuer controlled from the mainland. Incumbent anchoring remains consistent with the record, and these explanations limit how much of the outcome it can claim.

Read together, the three explanations point to a single conclusion. The Hong Kong model is not merely a conservative response to digital-money risk; it is a combined risk-control and financial center strategy implemented through a consolidated licensing architecture. The model

---

[120] Stablecoins Ordinance, Cap. 656, § 9(5) (H.K.) (defining "permitted offeror" to include a virtual asset trading platform licensed by the SFC under the Anti-Money Laundering and Counter-Terrorist Financing Ordinance).

[121] In September 2025, the CSRC reportedly advised some mainland brokerages, informally, to pause real-world-asset tokenization business in Hong Kong. *See* China Asks Brokers to Pause Real-World Asset Business in Hong Kong, Sources Say, Reuters (Sept. 22, 2025). *See also* Chinese Tech Giants Pause Stablecoin Plans After Beijing Steps In, FT Reports, Reuters (Oct. 19, 2025), https://www.reuters.com/business/retail-consumer/chinese-tech-giants-pause-stablecoin-plans-after-beijing-steps-ft-reports-2025-10-19/ (reporting the Financial Times account that the People's Bank of China and the Cyberspace Administration of China told the firms not to proceed; Reuters could not independently verify it).

preserves incumbent credibility by allocating new monetary privileges to institutions already associated with Hong Kong's distinctive monetary system.[122] The contrast with the United States is sharp. The contrast with Singapore, examined in Part V, is sharper still: Singapore does not allocate digital-money privileges primarily through either charter competition or incumbent stablecoin licensing, but through wholesale infrastructure governance.

V. Singapore: Wholesale Tokenization and Infrastructure Governance

Singapore presents the third regulatory grammar identified in Part II. Where the United States allocates digital-money privileges through a charter menu and Hong Kong allocates them through selective licensing of incumbent-linked issuers, Singapore allocates them through participation in regulator-coordinated wholesale infrastructure. MAS has not organized the digital-money question primarily around open-ended private issuer competition. It has instead emphasized supervised wholesale infrastructure within which tokenized bank liabilities, regulated stablecoins, and wholesale central bank money can interact. The result is that bank-like digital-money functions are performed in Singapore by incumbent financial institutions operating within infrastructure that the central bank designs and supervises, and into which it increasingly supplies settlement assets.

This section develops the Singapore case in three steps. Part V.A examines the institutional architecture that MAS has built: Project Guardian, the Singapore Dollar Test Network, and the BLOOM initiative. Part V.B examines the model in operation: the first live use of wholesale CBDC in interbank settlement and the issuance of tokenized MAS Bills. Part V.C explains why Singapore chose infrastructure governance rather than the licensed-incumbent model that Hong Kong pursued.

---

[122] The political-economy analysis underlying this conclusion draws on Calomiris and Haber's account of banking as a political bargain. *See* CALOMIRIS & HABER, *supra* note 19.

A. The infrastructure stack: Guardian, SGD Testnet, BLOOM

The institutional architecture of Singapore's approach was assembled over several years through three principal initiatives. Project Guardian, launched by MAS in May 2022, is a collaboration between MAS and the financial industry that examines how asset tokenization can enhance liquidity and efficiency in capital markets.[123] By late 2025 it had expanded into a broad institutional platform bringing together policymakers, financial institutions, and industry associations, with workstreams covering asset and wealth management, fixed income, and foreign exchange, and industry work extending to repo and transaction banking.[124] The defining substantive choice of Project Guardian, visible across its workstreams, is to anchor tokenized-asset settlement in regulated institutional settlement instruments—especially tokenized commercial bank liabilities and wholesale central bank money—rather than to organize Singapore's tokenization strategy around a retail-facing stablecoin ecosystem.[125]

The SGD Testnet provides the settlement layer. MAS announced plans to advance asset tokenization in November 2024, including a test network for the settlement of tokenized financial assets using wholesale central bank digital currency.[126] The SGD Testnet is a shared-ledger infrastructure for eligible and supervised financial institutions. The wholesale CBDC issued on it

---

[123] Monetary Authority of Singapore, Project Guardian, *supra* note 7.

[124] For Project Guardian's industry workstreams and institutional scope, see Monetary Authority of Singapore, *Project Guardian*, *supra* note 7. On tokenized bank liabilities in FX settlement and cross-border payments, see Int'l Swaps & Derivatives Ass'n & Ant Int'l, *Use of Tokenised Bank Liabilities for FX Settlement and Cross-Border Payments Under Project Guardian* (July 2025), https://www.isda.org/a/ZCjgE/ISDA-and-Ant-International-Lead-Industry-Report-on-use-of-Tokenised-Bank-Liabilities-for-FX-Settlement-and-Cross-Border-Payments-under-Project-Guardian.pdf.

[125] *See* Leong Sing Chiong, Deputy Managing Dir., Monetary Auth. of Sing., *Tokenisation in Financial Services—Pathways to Scale*, Opening Keynote Address at the Layer One Summit (Nov. 4, 2024), https://www.mas.gov.sg/news/speeches/2024/tokenisation-in-financial-services-pathways-to-scale (noting that the cash leg of tokenized asset transactions generally involves tokenized commercial bank money or tokenized bank liabilities, and that wholesale CBDC can serve as a credit-risk-free common settlement asset).

[126] Press Release, Monetary Authority of Singapore, MAS Announces Plans to Support Commercialisation of Asset Tokenisation (Nov. 4, 2024), https://www.mas.gov.sg/news/media-releases/2024/mas-announces-plans-to-support-commercialisation-of-asset-tokenisation.

is a liability of MAS itself, accessible only to eligible counterparties. In the typology of Part I.B, the SGD Testnet is an operational implementation of a wholesale CBDC regime: no retail access, institutional settlement, and central bank money at the top of the balance-sheet hierarchy.

The BLOOM initiative completes the architecture. Launched by MAS in October 2025, BLOOM was designed to support settlement using tokenized bank liabilities and well-regulated stablecoins, building on the groundwork of Project Orchid and complementing the asset tokenization work under Project Guardian.[127] BLOOM does not make open private issuance the organizing principle of Singapore's model. It incorporates tokenized forms of commercial bank money and regulated stablecoins into a supervised settlement architecture, while preserving MAS's control over standards, risk management, and network access. Its significance is therefore that it subordinates private settlement instruments to infrastructure governance.

Three features of the resulting stack are critical to the analysis. First, the architecture is regulator-built rather than market-emerged. Each of its principal components—Guardian, the SGD Testnet, and BLOOM—was conceived, sponsored, or coordinated by MAS. Second, the architecture is instrument-plural rather than issuer-plural. It can accommodate tokenized bank liabilities, wholesale CBDC, and regulated stablecoins, but it does so by specifying the infrastructure and standards within which each can settle. Third, the architecture's primary unit of analysis is the network rather than the issuer. Where the Hong Kong regime asks which institutions deserve a license, the Singapore architecture asks which networks, settlement assets, and access rules make tokenized finance safe and interoperable.

---

[127] Press Release, Monetary Authority of Singapore, *MAS Launches BLOOM Initiative to Extend Settlement Capabilities* (Oct. 16, 2025), https://www.mas.gov.sg/news/media-releases/2025/mas-launches-bloom-initiative-to-extend-settlement-capabilities.

Singapore also uses chartering and licensing. Four digital banks, selected by MAS in December 2020, began operating in 2022 as licensed banks, and providers of digital payment token services must hold a license under the Payment Services Act. A September 2026 consultation, which closed on October 16, 2026, would create a stablecoin issuance license for issuers that hold out their tokens as "MAS-regulated stablecoins" and give MAS's 2023 stablecoin framework statutory force.[128] The bank licenses admit entities to the banking perimeter and so function as charters; the payment services and stablecoin licenses authorize particular activities. Infrastructure access is the dominant technique in Singapore: eligibility for the SGD Testnet turns on direct participation in MEPS+, a statutorily designated settlement system, and wholesale tokenized settlement is the field in which Singapore's tokenization activity is concentrated.[129]

B. The model in operation: wholesale CBDC and tokenized MAS Bills

Two developments show the Singapore model at work: the first live use of wholesale CBDC in interbank settlement, and the extension of the SGD Testnet to tokenized central bank bills.[130]

---

[128] *See* Press Release, Monetary Auth. of Sing., *MAS Consults on Legislative Amendments to Implement Stablecoin Regulatory Framework* (Sept. 1, 2026), https://www.mas.gov.sg/news/media-releases/2026/mas-consults-on-legislative-amendments-to-implement-stablecoin-regulatory-framework (stating that only issuers licensed under the MAS Single-Currency Stablecoin framework may represent their stablecoins as "MAS-regulated stablecoins," that other stablecoins will be treated as digital payment tokens, and that MAS first consulted on the framework on October 26, 2022 and published its response on August 15, 2023); Monetary Auth. of Sing., *Consultation Paper on Proposed Amendments to the Payment Services Act for Stablecoin Regulation (P015-2026, Sept. 1, 2026), https://www.mas.gov.sg/publications/consultations/2026/consultation-on-proposed-amendments-to-the-payment-services-act-for-stablecoin-regulation.*

[129] Access to the SGD Testnet is limited to direct participants of MEPS+, MAS's real-time gross settlement system, which is a designated system under the Payment and Settlement Systems (Finality and Netting) Act 2002. *See* Press Release, Monetary Auth. of Sing., *MAS Announces Plans to Support Commercialisation of* Asset Tokenisation, *supra* note 126; Payment and Settlement Systems (Finality and Netting) (Designated System) (New MAS Electronic Payment and Book-Entry System) Order 2006, S 652/2006, para. 2 (Sing.); *see also* Monetary Auth. of Sing., *Tokenised MAS Bill,* https://www.mas.gov.sg/bonds-and-bills/auctions-and-issuance-calendar/mas-bills-type-tokenised-mas-bill (listing the first tokenised MAS Bill, TD26100F, issued Sept. 23, 2026 and settled in wholesale CBDC through the SGD Testnet); Chia Der Jiun, Managing Dir., Monetary Auth. of Sing., *Building Trusted Foundations for Digital Finance*, Keynote Address at the INSEAD Digital Finance & Agentic AI Summit (Oct. 9, 2026), https://www.mas.gov.sg/news/speeches/2026/building-trusted-foundations-for-digital-finance.

[130] Both were announced on November 13, 2025, during the Singapore FinTech Festival, the same day the HKMA launched its Ensemble^{TX} pilot, *see supra* note 106, and MAS and the Deutsche Bundesbank signed a memorandum of understanding on tokenization and cross-border settlement, *see* Press Release, Monetary Auth. of

The first was the completion, in November 2025, of a live trial of interbank overnight lending settled in wholesale CBDC on the SGD Testnet.[131] The participating institutions were DBS, OCBC, and UOB: Singapore's three local banking groups. The trial was not merely a simulation. MAS described it as the first live issuance of Singapore dollar wholesale CBDC, and the transactions were recorded in the participating banks' official books and regulatory filings.[132] The conceptual significance is that wholesale CBDC ceased to be only a research artifact and became, for the duration of the trial, an instrument of regulatory record. The institutional significance is that the three local banking groups were the participants in the first live wholesale CBDC issuance: the settlement asset, the participants, and the institutional perimeter were all defined by reference to Singapore's existing prudential framework. The choice of participants was itself an allocation: by admitting only these three groups, MAS differentiated among incumbents.

The second is MAS's plan, announced at the same time, to extend the SGD Testnet to the issuance of tokenized MAS Bills, settled in wholesale CBDC, to Primary Dealers.[134] MAS issued its first tokenized MAS Bill, a one-week S$1 million offering, on September 23, 2026, and a second on October 9, 2026.[135] The institutional significance is that the SGD Testnet, conceived initially for interbank lending, is being extended toward the issuance and trading of central bank bills. The tokenization of MAS Bills moves the infrastructure from bank-to-bank liquidity

---

Sing., *MAS and Deutsche Bundesbank Sign MoU on Tokenisation and Cross-Border Settlement* (Nov. 13, 2025), https://www.mas.gov.sg/news/media-releases/2025/mas-and-deutsche-bundesbank-sign-mou-on-tokenisation-and-cross-border-settlement.

[131] Press Release, Monetary Authority of Singapore, *MAS Announces Successful Live Trial of Settlement of Interbank Overnight Lending Using Wholesale Central Bank Digital Currency*, *supra* note 7.

[132] *Id.*

[134] *Id.*

[135] Monetary Auth. of Sing., Tokenised MAS Bill, *supra* note 129 (listing TD26100F, S$1,000,000 offered, issued Sept. 23, 2026, maturing Sept. 30, 2026; and TD26101Z, issued Oct. 9, 2026).

settlement toward a core sovereign money-market instrument. That is the point at which wholesale infrastructure governance begins to intersect with the conduct of monetary operations themselves.

Read together, these developments show the Singapore model in operation. Wholesale CBDC is issued by the central bank and was first used by the three local banking groups. The extension to MAS Bills deepens the structural role of the central bank's balance sheet in the tokenized ecosystem. Unlike Hong Kong, where the first two stablecoin licenses went to HSBC and Anchorpoint, MAS has not made the selection of stablecoin issuers its central policy instrument; regulated stablecoins enter Singapore's architecture through BLOOM as one settlement asset among several. The other settlement assets are tokenized bank liabilities and wholesale CBDC; all three are legible to the existing prudential framework. What is new is the infrastructure.

C. Why infrastructure governance, not licensed incumbency

Singapore's selection of an infrastructure-governance grammar rather than the licensed-incumbent grammar of Hong Kong is the second of the Article's two principal comparative puzzles. Both jurisdictions are small, hub-style international financial centers with sophisticated supervisory capacity, high external openness, and deep integration into dollar-based global finance. Part IV identified consolidated regulatory architecture as the precondition that ruled out a U.S.-style charter menu in Hong Kong; that precondition is present in Singapore in a stronger form, since MAS is at once the central bank, the integrated regulator of all financial sectors, and the currency issuer. Yet the two jurisdictions chose different grammars. The explanation, this Article argues, lies in the interaction of three factors: the absence of a note-issuing-bank analogue, MAS's infrastructure-oriented institutional style, and Singapore's wholesale financial-center brand.

The first factor is institutional history. The Hong Kong banking sector contains three commercial banks—HSBC, Standard Chartered Bank (Hong Kong), and Bank of China (Hong

Kong)—whose monetary privileges include the authority to issue Hong Kong dollar banknotes. The note-issuing function is a continuing institutional privilege that long predates the HKMA itself, and it differentiates the note-issuing banks from other authorized institutions in a way that is symbolically and operationally distinctive. A licensed-incumbent model that allocates digital-money issuance privileges to institutions close to the note-issuing banks is therefore institutionally available in Hong Kong precisely because there exists a pre-defined subset of incumbents with a historical monetary privilege onto which the new digital-money privilege can be mapped.

In Singapore, the analogous subset does not exist. DBS, OCBC, and UOB are large and internationally significant locally incorporated banks, but no historical note-issuing privilege distinguishes them from other banks in the manner of Hong Kong's note-issuing banks. Singapore dollar banknotes are issued by MAS, not by commercial banks.[136] Singapore does rank its banks. The Qualifying Full Bank program has set apart a tier of foreign full banks since 1999, and MAS designated seven domestic systemically important banks in 2015, four of them foreign. These are prudential and licensing tiers, and none carries a privilege to issue money. A licensing strategy modeled on Hong Kong's would therefore require MAS to create a monetary hierarchy among incumbents that Singapore's history does not supply.

The second factor is regulatory style. MAS has repeatedly governed digital-asset innovation through industry pilots, common standards, test networks, and public-private infrastructure rather than through open-ended issuer selection. Project Guardian, the SGD Testnet, and BLOOM are different components of the same administrative style: MAS defines the network, identifies eligible participants, specifies risk-management expectations, and controls the settlement layer.

[136] Monetary Authority of Singapore Act 1970; Currency Act 1967. MAS assumed the currency-issuance functions of the Board of Commissioners of Currency, Singapore in 2002. *See* Monetary Authority of Singapore, *Currency*, https://www.mas.gov.sg/currency.

This makes infrastructure governance the natural extension of Singapore's existing regulatory repertoire. The problem is which settlement architecture can make tokenized finance safe, interoperable, and institutionally scalable.

The third factor is financial-center branding. Hong Kong's digital-money strategy can credibly draw on the symbolic continuity between banknotes and stablecoins because banknote issuance is still visibly associated with commercial banks. Singapore's financial-center brand is different. It has historically emphasized institutional finance, market infrastructure, wealth management, payments connectivity, and state capacity rather than marquee private monetary issuers.[137] An infrastructure-led strategy therefore extends Singapore's existing positioning. It allows MAS to present Singapore as the jurisdiction in which tokenized finance can scale through regulated networks and central-bank-backed settlement, rather than as the jurisdiction in which a small number of licensed private issuers become the face of digital money.

Singapore's infrastructure-governance grammar is therefore not merely a policy preference. It is the equilibrium implied by Singapore's institutional structure. MAS can rank incumbents through admission to the infrastructure it builds, as its choice of participants in the November 2025 trial shows. The infrastructure becomes the locus of monetary privilege; the participating institutions earn the privilege by qualifying for access to the network, not by being designated as historically privileged issuers.

D. From three cases to comparative mechanism

The three jurisdictions examined in Parts III, IV, and V respond to the same technological shock with structurally different regulatory grammars. The United States produces a charter menu

[137] *See generally* Brunnermeier, James & Landau, *supra* note 30.

because its fragmented regulatory architecture admits multiple pathways for allocating bank-like functions. Hong Kong produces a licensed-incumbent regime because its consolidated architecture, combined with the historical monetary privileges of its note-issuing banks, makes incumbent anchoring both possible and strategically attractive. Singapore produces a wholesale-infrastructure regime because its consolidated architecture, combined with the absence of differentiated incumbent monetary privileges and MAS's infrastructure-oriented regulatory style, makes infrastructure-level coordination the most natural grammar.

The three cases are coherent not because they were designed in coordination, but because each grammar is the equilibrium of a structurally distinct institutional environment. The next section draws out the legal mechanisms that underline this pattern and shows why institutional structure systematically channels the choice of regulatory technique.

VI. The Legal Allocation of Digital-Money Privileges

Parts III, IV, and V described three jurisdictions that have responded to the same technological shock with structurally different regulatory grammars. The descriptive contrast is, by itself, the typological contribution announced in Part II. This section turns to the underlying legal mechanism. It argues that the three grammars are not merely different policy preferences about digital money. They are institutionally constrained legal responses: each regulator acts within a structure that makes some legal techniques more available, credible, and administrable than others.

The legal allocation of digital-money privileges has six components: the legal basis for authorization, the location of regulatory discretion, the public privilege conferred, the obligations attached to that privilege, the liability and accountability regime governing failure, and the boundary of public support. Chartering, licensing, and infrastructure access differ because they answer these six questions differently. The argument proceeds in six steps. Part VI.A establishes

the puzzle: similar digital-money instruments receive different legal treatment across jurisdictions. Part VI.B introduces the analytical vocabulary—chartering, licensing, and infrastructure access. Part VI.C develops the six-dimensional legal allocation framework. Part VI.D identifies the characteristic failure point of each legal technique. Part VI.E argues that institutional structure channels the choice among legal techniques. Part VI.F bridges from the mechanism to Part VII.

A. Same instrument, different legal treatment

The three preceding cases reveal a striking pattern. Stablecoins, tokenized deposits, and wholesale CBDC—instruments defined by the same balance-sheet logic—receive systematically different legal treatment across jurisdictions. A stablecoin may be routed through a trust bank charter in the United States, through a dedicated statutory licensing regime in Hong Kong, and through an infrastructure-access framework in Singapore.[138] Tokenized deposits appear as a defensive rebundling by incumbent banks in the United States, as bank-led pilot infrastructure in Hong Kong, and as a core component of wholesale settlement networks in Singapore. Even wholesale CBDC, the most public of the three instruments, the three jurisdictions diverge. The United States has none, and the analogous question arises there as a dispute over access to conventional reserve accounts; Hong Kong's Ensemble^{TX} pilot is to move in stages to settlement in tokenized central bank money; and Singapore has issued wholesale CBDC in a live trial. These variations cannot be attributed to technological differences. The same functional possibilities are being translated through different legal techniques. It is to those techniques that the analysis now turns.

[138] In Singapore, stablecoins enter the settlement layer through BLOOM, which supports settlement using tokenized bank liabilities and regulated stablecoins, see supra note 127, while their issuance would be licensed under the Single-Currency Stablecoin framework that MAS proposes to implement through amendments to the Payment Services Act, see supra note 128. See infra Part VII.B.

B. Three legal techniques and where discretion is concentrated

The three regulatory grammars identified in Part II can be re-described as three legal techniques for allocating bank-like digital-money privileges: *chartering*, *licensing*, and *infrastructure access*. Chartering allocates privileges by admitting an entity into the banking perimeter and defining the powers its charter conveys. Licensing allocates privileges by authorizing a specified activity, such as the issuance of fiat-referenced stablecoins, subject to statutory and supervisory conditions. Infrastructure access allocates privileges by controlling participation in the settlement layer: who may access the network, which settlement assets may be used, and which governance rules determine finality, interoperability, and risk allocation.

Building on the debate over whether to regulate fintech by entity or by activity, and departing from the literature on the temporal location of regulatory discretion, this Article identifies a dimension along which the three techniques differ: the legal *object* at which discretion is directed.[139] The three techniques differ in where legal discretion is concentrated, and the differences are principally structural.

Chartering concentrates discretion at the boundary of the banking system. The legal question is whether an entity may become a bank or bank-like institution, and which powers its charter conveys. The OCC's conditional approval letters for national trust banks and full-service national banks illustrate this technique. The approval decision does not merely admit the applicant; it

[139] *Cf.* Fernando Restoy, *Fintech Regulation: How to Achieve a Level Playing Field* (Fin. Stability Inst., FSI Occasional Paper No. 17, Feb. 2, 2021) (examining the move 'from an entity-based to an activity-based regulatory approach' and arguing for greater reliance on rules that apply to entities); Fernando Restoy, *Regulating Fintech: Is an Activity-Based Approach the Solution?* (Bank for Int'l Settlements, Speech, June 16, 2021); Comm. on Payment & Settlement Sys. & Tech. Comm. of the Int'l Org. of Sec. Comm'ns, *Principles for Financial Market Infrastructures*, Principle 18, at 101 (Apr. 2012). On the temporal location of discretion, *see* Arup Daripa, *Ex Ante Versus Ex Post Regulation of Bank Capital* (Bank for Int'l Settlements, Conference Paper, 2006); Brian Galle, *In Praise of Ex Ante Regulation*, 68 Vand. L. Rev. 1715 (2015). This article adds settlement infrastructure as a third object of discretion and asks where each jurisdiction places the discretion that allocates monetary privilege.

defines the functional bundle the applicant receives. A national trust bank may receive custody, fiduciary, reserve-administration, and settlement-related powers without lending or insured deposit-taking. A full-service national bank may receive a broader bundle, including deposits, lending, payments, treasury services, and digital-asset activities, subject to additional conditions. The legal object of discretion is the institution.

Licensing concentrates discretion at the level of a regulated activity. The legal question is not whether the applicant becomes a bank, but whether it may engage in a specified activity under continuing conditions. Hong Kong's Stablecoins Ordinance illustrates this technique. The licensed activity is the issuance of fiat-referenced stablecoins. The HKMA's discretion is exercised first at the point of admission—which issuers receive licenses—and then through ongoing supervision of reserve assets, redemption operations, governance, risk management, and anti-money-laundering controls. The legal object of discretion is the issuer performing the licensed activity.

Infrastructure access concentrates discretion at the level of the network. The legal question is which institutions may participate in the settlement infrastructure, which assets qualify as settlement assets, and which rules govern the cash and asset legs of tokenized transactions. Singapore's Project Guardian, SGD Testnet, and BLOOM initiative illustrate this technique. Eligible financial institutions participate within a regulator-coordinated architecture; the central regulatory decision is the design of the rails rather than the selection of a single issuer. The legal object of discretion is infrastructure.

This legal vocabulary clarifies why instrument labels alone are insufficient. A stablecoin may be issued by a non-bank, supported by a trust bank, or brought within a dedicated licensing regime. A tokenized deposit may be issued by an incumbent commercial bank or by a narrow settlement bank. A wholesale CBDC may be a research object, a pilot instrument, or a live settlement asset.

The same technological function may therefore have different legal consequences depending on the technique through which the relevant privilege is allocated.

C. Six dimensions of legal allocation

The difference between chartering, licensing, and infrastructure access becomes clearer when each technique is decomposed into the legal questions it answers. Digital-money regulation is not only a question of whether an activity is permitted. It is also a question of the legal basis for permission, the location of discretion, the public or quasi-public privilege conferred, the obligations attached to that privilege, the liability regime governing failure, and the boundary of public support.[140]

Table 5. Six Dimensions of Digital-Money Privilege Allocation

Dimension	Legal question
Legal basis	What legal instrument authorizes the activity: charter, license, statute, supervisory permission, or infrastructure rulebook?
Legal discretion	Where is regulatory discretion concentrated: entry into the banking perimeter, activity authorization, network access, or ongoing infrastructure governance?
Public privilege	What public or quasi-public privilege is conferred: bank or issuer status, preemption of state law, an exclusive offering right, a reserved regulatory label, par-redemption credibility, settlement finality, access to central bank money, or supervisory recognition?
Regulatory obligation	What obligations attach to the privilege: reserve, liquidity, capital, governance, AML, custody, redemption, or operational-resilience requirements?
Liability and accountability	Who bears legal responsibility if the instrument fails (issuer, bank, custodian, infrastructure operator, participant institution, or public authority), and how is the authority that allocates the privilege held to account (published criteria, reasons for decisions, and review)?
Boundary of public support	Does the entity receive deposit insurance, lender-of-last-resort access, central bank settlement, resolution support, or only regulatory recognition?

The U.S. charter-menu model answers these questions through fragmented chartering and supervisory decisions. The legal basis is a mix of federal and state banking law: national bank

[140] Hockett & Omarova, *supra* note 14.

charters, national trust bank approvals, state special-purpose depository charters, supervisory permissions, and Federal Reserve account-access decisions. The GENIUS Act adds a statutory layer to this legal basis by routing payment stablecoin issuance through issuer categories built on existing charters and chartering authorities.[141] Legal discretion is dispersed across the OCC, state banking departments, the Federal Reserve, and the FDIC. The public privileges conferred are correspondingly partial and uneven. A national trust bank receives federal bank status and trust-company powers, but not the full public-support bundle of an insured commercial bank. The national charter also carries preemption of state laws that prevent or significantly interfere with national bank powers, and the OCC has concluded that the National Bank Act preempts state money transmitter licensing as applied to an uninsured national trust bank.[142] A state special-purpose institution may receive state banking status, but access to central bank settlement remains a separate federal question. A full-service national bank may receive the full commercial-bank bundle, but only after satisfying additional Federal Reserve and FDIC conditions.

The obligations and accountability structure in the U.S. model track this fragmentation imperfectly. Trust banks face fiduciary, custody, reserve-administration, and supervisory conditions, but they do not necessarily assume the full prudential obligations of an insured deposit-taking lender. Narrow settlement banks may be subject to full-reserve and custody obligations, but their access to Federal Reserve services remains contested or limited. Incumbent banks that tokenize deposits remain inside the traditional prudential perimeter, but the legal treatment of the tokenized interface raises questions about settlement finality, operational resilience, and the boundary between deposits and payment tokens.

---

[141] 12 U.S.C. § 5901(23); see supra Part III.A.
[142] 12 U.S.C. § 25b and Cantero v. Bank of America, N.A., 602 U.S. 205 (2024)

The GENIUS Act adds obligations and a liability rule for payment stablecoin issuers. An issuer must hold reserves at least equal to its outstanding stablecoins and may not pay interest or yield to holders.[143] Once the Act takes effect, holders will have priority over all other creditors in the required reserves, and in the issuer's bankruptcy their claims that the reserves do not cover take first priority, to the extent the issuer held less than the reserves the Act requires.[144] The charter governs the institution's own failure: the Comptroller appoints the receiver of an uninsured national bank, a Wyoming SPDI goes through state receivership, and a national trust bank must keep fiduciary assets separate from its own.[145] Consolidated supervision has a gap. Under the Bank Holding Company Act, an uninsured institution is a 'bank' only if it both accepts demand or checkable deposits and makes commercial loans, so the parent of an uninsured institution that does not do both does not become a bank holding company when the institution obtains Reserve Bank services.[146] The Account Access Guidelines partly close the gap: such an institution reaches Tier 2 only if its holding company is subject to Federal Reserve oversight by statute or by commitment.[147] The U.S. model therefore allocates privileges and obligations through multiple partially overlapping legal channels. Its central legal problem is perimeter instability: bank-like privileges may be conferred without the full set of bank-like obligations, while similar settlement functions may receive different legal treatment depending on the charter through which they are performed.

---

[143] 12 U.S.C. § 5903(a)(1), (a)(11)

[144] See 12 U.S.C. § 5910(1); 11 U.S.C. § 507(e).

[145] 12 U.S.C. § 191; Receiverships for Uninsured National Banks, 81 Fed. Reg. 92,594 (Dec. 20, 2016) (codified at 12 C.F.R. pt. 51); 12 C.F.R. § 9.13(b); 12 C.F.R. § 9.2(e), which does not list custody without investment discretion among fiduciary capacities; and Wyo. Stat. Ann. § 13-12-122(a) (liquidation or conservatorship by the state banking commissioner)

[146] 12 U.S.C. § 1841(c)(1), (c)(2)(D)(iv)

[147] Account Access Guidelines, *supra* note 93.

The Hong Kong licensed-incumbent model answers the six questions differently. The legal basis is the Stablecoins Ordinance. Legal discretion is concentrated in the HKMA's decision to grant, refuse, supervise, and revoke stablecoin issuer licenses. The public privilege conferred is the authority to issue a regulated fiat-referenced stablecoin under the credibility of Hong Kong's statutory licensing regime. The license also carries an exclusive retail offering right: under section 9 of the Ordinance, only stablecoins issued by licensed issuers may be offered to retail investors in Hong Kong. The obligations attached to these privileges are reserve segregation, redemption at par, governance, capital, risk-management, AML, and ongoing supervisory requirements. Liability and accountability remain centered on the licensed issuer: the stablecoin is not transformed into a bank deposit merely because the issuer is regulated.[148] The boundary of public support is therefore deliberately limited. The public sector supplies licensing credibility and supervisory discipline but not deposit insurance or lender-of-last-resort support for stablecoin holders.

This is why Hong Kong's model is a distinct legal allocation of monetary privilege. The issuer receives the public credibility of a statutory license and the market credibility of incumbent anchoring, but the instrument remains outside the ordinary deposit-insurance perimeter. The legal task is to make the stablecoin safe enough to circulate as regulated digital money without converting it into an ordinary bank deposit or extending the full public safety net to its holders. The licensed-incumbent model therefore allocates credibility without fully socializing risk.

Singapore's wholesale-infrastructure model locates the six questions at the level of the settlement network. The legal basis is not a new bank charter or a standalone stablecoin license as the central policy instrument, but MAS's authority to design, coordinate, and supervise financial-market infrastructure, including Project Guardian, the SGD Testnet, and BLOOM. Legal discretion

[148] Awrey & van Zwieten, The Shadow Payment System, *supra* note 43.

is concentrated in access rules, eligible settlement assets, network governance, and the terms on which tokenized bank liabilities, regulated stablecoins, and wholesale central bank money may interact. The public privilege conferred is access to regulated settlement infrastructure and, in the case of wholesale CBDC, settlement in central bank money. Regulatory obligations attach to participation: eligibility, risk management, operational resilience, settlement controls, and compliance with network standards.

The accountability structure is correspondingly infrastructural. Participating banks remain responsible for their own liabilities, including tokenized bank liabilities. MAS remains responsible for the settlement asset it issues and the governance of the infrastructure it coordinates. Private issuers do not become the face of the regime; the settlement network becomes the locus of public credibility. The boundary of public support is therefore drawn around the settlement layer rather than around each issuer. Singapore Deposit Insurance Corporation (SDIC) still insures deposits at the participating banks, presenting the support at the settlement layer as an addition to that ordinary deposit insurance. Singapore supplies public money and public governance at the infrastructure level, while leaving private balance-sheet risks with the participating institutions. The model allocates public support to the rails, not to every vehicle that travels on them.

These differences can be summarized in a second-order comparison. Chartering confers a status whose privileges reach across activities, such as preemption of state law and eligibility for a Reserve Bank account. Licensing permits a defined activity, and its privileges stay with that activity. Infrastructure access confers the right to participate in a settlement system, and its privileges, such as settlement finality and settlement in central bank money, stay within that system. The three techniques therefore answer the same six legal questions in different ways. That

is why they produce different digital-era banking forms even when they confront the same instruments and technologies.

Three cases sit at the boundary between chartering and licensing. A national trust charter confined to trust powers resembles an activity license but brings member bank status and national bank preemption, so this Article classifies it as chartering. A Hong Kong issuer license is available only to a company incorporated in Hong Kong or to an authorized institution incorporated elsewhere, and it carries capital, governance, and fit-and-proper requirements. Its privileges, including the exclusive retail offering right in section 9, attach to the issuing activity, so this Article classifies it as licensing. A nonbank entity that the OCC approves as a federal qualified payment stablecoin issuer receives authority to issue payment stablecoins and to carry on the activities the GENIUS Act allows around issuance, which is licensing in substance. The Act thus added licensing to the U.S. menu, while its other issuer categories and access to Federal Reserve accounts still turn on charters.

The conditions for equivalence between private and public money are also legal allocations. Brunnermeier and Niepelt's result depends on the central bank's willingness to pass funding through to banks that lose deposits, part of the boundary of public support, and on access to central bank money, a public privilege. The three jurisdictions allocate these conditions differently.[149] Kraken's limited purpose account reaches only the Fedwire Funds Service, without intraday credit, discount window credit, or interest. Hong Kong's licensed stablecoins have no Exchange Fund backing. In Singapore's November 2025 trial, MAS issued wholesale CBDC to three banks.

[149] *See* Brunnermeier & Niepelt, *supra* note 18.

D. Potential failure points of the three legal techniques

The preceding comparison also reveals the characteristic failure point of each legal infrastructure. Chartering fails when legal status and public support become decoupled from the obligations that those privileges call for. The U.S. charter-menu model creates precisely this risk: entities may receive federal or state bank-like status, custody authority, reserve-administration powers, or limited access to settlement infrastructure without obligations matched to the risks and expectations those privileges create. Partial banking status is not itself the failure, and nothing here assumes that such entities should carry the full obligations of insured commercial banking (see Part VII.C).[150] Its failure point is therefore perimeter instability: public or quasi-public privileges may be conferred in fragments, while obligations, resolution arrangements, and safety-net boundaries remain dispersed across agencies.

Licensing fails in a different way. The Hong Kong model gives licensed stablecoin issuers the public credibility of statutory authorization and HKMA supervision, but it does not convert the stablecoin claim into an insured bank deposit or extend lender-of-last-resort support to holders. Its failure point is credibility that holders may mistake for a public backstop. The absence of a government guarantee is a deliberate design choice, not a gap to be filled; the risk is that the market misreads where public support ends, or that reserve, redemption, and resolution rules prove inadequate to support the promise the license appears to make. The contrast with note issuance shows the risk: a licensed stablecoin can carry the reputation of a note-issuing bank without any of the Exchange Fund backing that supports that bank's notes. The license makes the instrument more money-like by signaling regulatory approval, but liability remains centered on the issuer, the

[150] *See* Ye & Rengifo, *supra* note 2; *see also* Press Release, ICBA, *supra* note 9 (arguing that national trust charters give crypto firms the credibility of a federal bank charter without the Community Reinvestment Act obligations, consolidated supervision, capital and liquidity standards, and FDIC insurance that apply to insured depository institutions).

reserve pool, and the enforceability of redemption rights. The legal challenge is therefore to prevent licensing credibility from being mistaken for public guarantee.

Infrastructure access has a third failure point. Singapore's model locates public support at the settlement layer rather than at the issuer level. This reduces issuer-based instability, but it concentrates discretion in the governance of the network: who may participate, which settlement assets qualify, which rules govern finality, and how operational or legal failures are allocated among the central bank, infrastructure operator, and participating institutions. Its failure point is access-governance risk.[151] Access-governance risk includes the risk that access to the settlement layer is allocated on undisclosed or subjective criteria, the problem that Principle 18 of the Principles for Financial Market Infrastructures addresses. Singapore socializes settlement credibility, but not participant balance-sheet risk.

Across the three models, the common legal problem is that digital-money regimes can create public credibility before fully specifying public liability.[152] The failure of SVB shows how this happens. On March 10 and 11, 2023, Circle, the issuer of the USDC stablecoin, disclosed that $3.3 billion of the roughly $40 billion in USDC reserves, about 8 percent, was held as uninsured deposits at SVB. USDC fell to roughly 86 to 88 cents, depending on the trading venue. On March 12, the Treasury, the Federal Reserve, and the FDIC invoked the systemic risk exception for SVB and Signature Bank and protected all depositors. USDC recovered sharply and returned to par once Circle resumed redemptions on March 13.[153] No charter, license, or rulebook had told USDC

---

[151] Comm. on Payment & Settlement Sys. & Tech. Comm. of the Int'l Org. of Sec. Comm'ns, Principles for Financial Market Infrastructures, princ. 18 (Apr. 2012).

[152] *See* Ye & Rengifo, *supra* note 2; *see also* Press Release, ICBA, *supra* note 9 ("U.S. consumers reasonably expect a federally chartered bank to carry federal protections.").

[153] Treasury/Fed/FDIC Joint Statement of Mar. 12, 2023 (invoking the systemic risk exception, 12 U.S.C. § 1823(c)(4)(G)) and Chuan Du, Ria Sonawane & Cy Watsky, In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins, FEDS Notes (Bd. of Governors of the Fed. Rsrv. Sys., Dec. 17, 2025).

holders whether public support would reach them. Regulators drew that boundary after the fact, and public support reached USDC holders only indirectly, through the issuer's practice of holding reserves as bank deposits.

Chartering, licensing, and infrastructure access confer a different form of monetary privilege, but each also risks blurring the line between regulatory recognition and public support. The central task of digital-money law is therefore to ensure that each conferred privilege is matched by a corresponding obligation, accountability mechanism, and boundary of public support.[154]

E. Why institutional structure channels legal technique

At a high level, the three techniques are conceptually available to jurisdictions designing a digital-money regime. A jurisdiction could, in theory, create charters for digital-money firms, license stablecoin issuers, or build wholesale settlement infrastructure. The fact that the United States, Hong Kong, and Singapore have converged on different techniques therefore requires explanation. The argument developed here is that institutional structure channels the choice of legal technique by making some techniques more administrable and credible than others.

The first structural feature is *regulatory fragmentation*: the dispersion of authority over bank entry, deposit insurance, central bank account access, payment services, and prudential supervision across multiple institutions. In the United States, the OCC controls national bank chartering, state banking departments control state charters, the FDIC controls deposit insurance, and the Federal Reserve controls access to Federal Reserve accounts and payment services. This distribution of authority makes a single digital-money technique difficult to impose. Firms can seek entry through

[154] See infra Part VII.

multiple doors, and each regulator controls only part of the banking bundle. Chartering becomes the natural technique because fragmented authority permits multiple legal pathways to emerge.

The second structural feature is *incumbent differentiation*: the extent to which the local banking sector contains a clearly identifiable subset of institutions with historically distinctive monetary privileges. Hong Kong is the clearest example. Its note-issuing banks possess a continuing monetary role that distinguishes them from other authorized institutions. That historical structure makes selective licensing credible: the HKMA can allocate new digital-money privileges to institutions already associated with Hong Kong's monetary architecture. Singapore lacks an equivalent note-issuing-bank hierarchy. DBS, OCBC, and UOB are large and systemically important, but they do not possess differentiated historical monetary privileges comparable to Hong Kong's note-issuing banks. A Hong Kong-style licensed-incumbent strategy would therefore require MAS to manufacture a monetary hierarchy among incumbents rather than extend an existing one.

The third structural feature is *infrastructure orientation*: the regulator's institutional capacity and policy practice in designing, coordinating, and governing financial-market infrastructure. The point is not that one regulator is technically capable and another is not. Both the HKMA and MAS have substantial technical and supervisory capacity. The difference is in the policy instrument placed at the center of the digital-money strategy. Hong Kong's most salient instrument is issuer licensing under the Stablecoins Ordinance. Singapore's most salient instrument is wholesale infrastructure governance through Project Guardian, the SGD Testnet, and BLOOM. MAS's institutional style makes infrastructure access a credible legal technique because it can define the network, identify eligible participants, specify settlement assets, and adjust the rules of participation over time.

These three structural features is consistent with the observed mapping. The United States adopts chartering because fragmented authority makes a single licensing or infrastructure strategy difficult to consolidate, while multiple charter and supervisory pathways remain legally available. Hong Kong adopts licensing because consolidated regulatory authority, combined with historically differentiated incumbents, makes selective stablecoin authorization credible and administrable. Singapore's use of infrastructure access is consistent with consolidated authority, the absence of a note-issuing-bank hierarchy, and MAS's infrastructure orientation.

The implication is not that legal structure mechanically determines regulatory outcome. Regulators still exercise judgment, and political choices matter. The point is narrower and more legal: institutional structure shapes the menu of administrable legal techniques. It determines which techniques are available without major statutory redesign, which techniques can be justified to market participants, and which techniques can be implemented through existing regulatory institutions. Digital-money regulation is therefore path-dependent.[155] It travels through the legal architecture already present in each jurisdiction.

F. From mechanism to normative implications

The mechanism developed above does not require a separate predictive model. Its implications for the three jurisdictions follow from the legal architecture identified in the case studies. Where authority is fragmented, as in the United States, digital-money functions are likely to continue being allocated through competing charter and supervisory pathways. Where authority is consolidated around historically differentiated incumbents, as in Hong Kong, licensing is likely to remain selective and incumbent-anchored.[156] Where authority is consolidated but incumbent

[155] Bebchuk & Roe, *supra* note 22.

[156] Press Release, H.K. Gov't, LCQ6: Development and Regulation of Stablecoins (June 10, 2026), https://www.info.gov.hk/gia/general/202606/10/P2026061000429.htm.

monetary privilege is not differentiated, as in Singapore, infrastructure access is likely to remain the central legal technique.[157]

Part VII draws out these implications in normative terms.. If digital-money regulation is best understood as the legal allocation of monetary privileges, then regulatory obligations should not attach to labels alone. They should attach to the functions performed, the public privileges received, the liability structure created, and the boundary of public support that the legal regime chooses to draw.

VII. Matching Privileges and Obligations

A. The principle

Regulatory obligations should track functions and public privileges rather than instrument labels or institutional forms alone. Each legally conferred privilege should carry the obligations that neutralize the specific public risk that privilege creates, and the boundary of public support attached to the privilege should be declared ex ante and made legible to holders.[158]

This principle differs from the functional principle of the Financial Stability Board (FSB) in what it attaches obligations to. The FSB's 2020 report on global stablecoin arrangements calls for "same business, same risk, same rules."[159] Its 2023 final report, issued under a revised title as part

---

[157] The mechanism is offered for these three jurisdictions, and two other cases show its limits. Japan has a consolidated regulator and no commercial note issuers, yet it confirmed and channeled the issuance of stablecoins backed by fiat currency to banks, fund transfer service providers, and trust companies. See Shikin Kessai ni Kansuru Hōritsu [Payment Services Act], Law No. 59 of 2009, art. 2(5), as amended by Law No. 61 of 2022 (in force June 1, 2023) (Japan). The United Kingdom has commercial note issuers in Scotland and Northern Ireland, but its regime for systemic sterling stablecoins gives them no special role and will require issuers to hold part of their backing as deposits at the Bank of England. See Bank of England, Proposed Regulatory Regime for Sterling-Denominated Systemic Stablecoins (Consultation Paper, Nov. 10, 2025); Bank of England, Sterling-Denominated Systemic Stablecoins: Policy Statement and Draft Code of Practice (June 22, 2026) (setting a floor of 30 percent for deposits at the Bank).

[158] Hilary J. Allen, Driverless Finance: Fintech's Impact on Financial Stability (2022)

[159] Fin. Stability Bd., Regulation, Supervision and Oversight of "Global Stablecoin" Arrangements: Final Report and High-Level Recommendations 2, 27 (Oct. 13, 2020).

of the FSB's crypto-asset framework, uses "same activity, same risk, same regulation."[160] Hong Kong's Stablecoins Ordinance, Singapore's stablecoin framework, the European Union's Markets in Crypto-Assets Regulation (MiCA), and the GENIUS Act already apply this principle, defining their scope by function.[161] The FSB formula already includes "same risk," and it calls for regulation on a functional basis and proportionate to risk, so it does not require that two firms be treated alike merely because they perform the same activity. The principle advanced here matches obligations to the privileges a jurisdiction confers, and two firms performing the same activity may receive different privileges.[162] A custody business that holds a Reserve Bank account has a privilege that the same business without an account lacks (see Part VI.C). A risk-based rule can register the difference the account makes. What the principle advanced here adds is attention to the grant itself: which authority conferred the privilege, how the grant changes the holder's risks and the market's expectations, and what explanation and review the grantor owes (see Part VII.E).

B. Matching rules already in force

An entity that promises par redemption should face reserve, segregation, liquidity, and redemption requirements. An entity that provides custody or reserve administration should face safekeeping, operational-resilience, and conflict-of-interest rules. An entity that receives access to central bank settlement should face stronger requirements concerning liquidity, risk management, and systemic resilience.

---

[160] Fin. Stability Bd., High-level Recommendations for the Regulation, Supervision and Oversight of Global Stablecoin Arrangements: Final Report 2, 4–5, 11 (July 17, 2023).

[161] Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on Markets in Crypto-Assets, and Amending Regulations (EU) No 1093/2010 and (EU) No 1095/2010 and Directives 2013/36/EU and (EU) 2019/1937, 2023 O.J. (L 150) 40.

[162] Hockett & Omarova, *supra* note 14.

Each of these pairings already exists in some form, and each leaves a gap. For par redemption, the GENIUS Act supplies reserve, yield, and holder-priority rules (see Part VI.C), but reserves may still be held as bank deposits, and the OCC's final rule confirms the trust-bank route to issuance while confining it to activities within the trust charter, the question now in litigation (see Part III.B).[163] For custody and reserve administration, an uninsured national bank that fails is resolved in an OCC receivership, in which assets the bank holds in a fiduciary or custodial capacity, as designated on its books and records, are not available to its general creditors; fiduciary accounts are also subject to the OCC's fiduciary rules, including the requirement to keep fiduciary assets separate from the bank's own. Custody that is not fiduciary falls within the receivership rule but outside those fiduciary duties, so its protection depends on how the assets are recorded, on the custody contract, and on the commercial law that governs the customer's interest in the assets.[164] For central bank settlement access, the gap is the Bank Holding Company Act, which does not reach the parent of an uninsured trust bank. The Account Access Guidelines fill that gap only in part, and by negotiation: a crypto parent can move its trust bank from Tier 3 to Tier 2 by accepting Federal Reserve oversight commitments.[165] The result is a privilege matched to an obligation, but the match is bargained case by case rather than set by statute.

The Board's proposed amendment to Regulation D adds a further pairing for central bank settlement access: Reserve Banks would pay no interest on balances held in the proposed payment account. Like the GENIUS yield ban, it denies interest on balances that a public privilege would otherwise attract, so that the account serves settlement rather than the storage of value.[166]

---

[163] *See supra* notes 143–144 and accompanying text.
[164] *See supra* note 145 and accompanying text.
[165] *See supra* notes 146–147 and accompanying text.
[166] Regulation D: Reserve Requirements of Depository Institutions, 91 Fed. Reg. 30,503 (proposed May 26, 2026) (to be codified at 12 C.F.R. pt. 204).

Hong Kong and Singapore make the par-redemption pairing through market access rather than through the charter. Hong Kong pairs the right to offer a stablecoin to retail investors with the Stablecoins Ordinance's reserve and redemption duties, and Singapore pairs the "MAS-regulated stablecoin" label with a duty to return par value within five business days of a redemption request.[167] In both, the obligation attaches to the privilege of reaching holders under a regulatory imprimatur, not to the issuer's institutional form.

Privilege conferred	**Public risk it creates**	**Matching obligation**	**Existing legal anchor**	**Gap to address**
Issuing claims redeemable at par[168]	Run risk and holder losses	Reserves, segregation, redemption at par, holder priority, no yield	The GENIUS Act; the U.S. Bankruptcy Code; Hong Kong's Stablecoins Ordinance; Singapore's stablecoin framework and proposed amendments	Reserves held as bank deposits; whether a bank may issue from its own balance sheet; issuance by uninsured national trust banks; recognition of stablecoins issued abroad
Custody and reserve administration[169]	Commingling and operational failure	Segregation, fiduciary duties, receivership	OCC fiduciary rules; OCC receivership of uninsured national banks	Custody that is not fiduciary, carried out inside trust charters
Central bank settlement access[170]	Systemic and operational risk; movement of balances out of bank deposits	Liquidity and operational resilience; oversight of the parent; no	Federal Reserve account access guidelines and account terms; the proposed	Parents of uninsured trust banks and special purpose depository

[167] Stablecoins Ordinance, Cap. 656, §§ 8–9, sch. 2, ss. 5–6 (H.K.); Press Release, Monetary Auth. of Sing., MAS Finalises Stablecoin Regulatory Framework (Aug. 15, 2023), https://www.mas.gov.sg/news/media-releases/2023/mas-finalises-stablecoin-regulatory-framework.

[168] 12 U.S.C. §§ 5903, 5910 and 11 U.S.C. § 507(e), the Stablecoins Ordinance, sch. 2, ss 5–6 (§3.5(2)), the MAS framework of Aug. 15, 2023, and CP P015-2026 ¶¶ 2.9, 3.2, 6.3.

[169] 12 C.F.R. pts. 9 and 51 and 12 U.S.C. § 191.

[170] The Account Access Guidelines, the Kansas City Fed's terms for Kraken, the proposed Payment Account rule, *supra* note 34, 12 U.S.C. § 1841(c)(1) and (c)(2)(D)(iv) (§2.3(c)) and MAS Act § 29A.

Privilege conferred	Public risk it creates	Matching obligation	Existing legal anchor	Gap to address
		interest where balances could replace deposits	payment account rule; the Bank Holding Company Act (insured trust institutions only); MAS rules for participants in its settlement system	institutions outside the Bank Holding Company Act
National charter and preemption[171]	Arbitrage against state consumer law	Federal consumer protection supervision in place of preempted state law	National bank preemption under the National Bank Act	Preemption for trust banks that offer payment services
Regulatory label or charter name[172]	Inferred public backstop	Statement that no public backstop applies; limits on names and marketing	Rules on stablecoin labels and marketing in the three jurisdictions	Charter names such as "National Trust Bank" that suggest deposit insurance
admission to a scarce license or the settlement layer[173]	Exclusion and anticompetitive standard setting	Published, objective criteria; reasons; review	International standards for access to financial market infrastructures; Singapore's right to seek review of denied access	Informal selection for pilots; general reasons given for licensing 2 of 36 applicants in Hong Kong
Taking deposits and making loans[174]	Moral hazard	Full prudential perimeter	Deposit insurance law and Basel capital standards	None (see Part VII.C)

[171] 12 U.S.C. § 25b and Cantero.

[172] The GENIUS marketing provisions, the MAS label and the Hong Kong rules.

[173] Principle 18 of the Principles for Financial Market Infrastructures and PSA § 54.

[174] The Federal Deposit Insurance Act, 12 U.S.C. §§ 1811–1835a, Cap. 581 (§3.4(2)) and the Deposit Insurance and Policy Owners' Protection Schemes Act 2011 (§4.3(6)), and Basel Comm. on Banking Supervision, Basel III: A Global Regulatory Framework for More Resilient Banks and Banking Systems (rev. June 2011).

C. Why an entity that takes deposits and lends stays inside the full perimeter

This Article agrees with Gorton and Zhang, and with Ricks, that the issuance of money claims requires regulation.[175] The matching rules above impose reserve, segregation, redemption, and priority requirements on any entity that promises par redemption, and those rules shield holders from the issuer's credit risk in the way Merton and Thakor describe.[176] The full prudential perimeter answers a different risk. When an institution funds loans with claims payable on demand, reserve rules cannot make those claims safe, because the assets behind them are illiquid and hard for outsiders to value. Deposit insurance and the lender of last resort fill that gap, and capital requirements and supervision are their price. Kashyap, Rajan, and Stein explain why lending and deposit-taking coexist in one institution.[177] That combination, alone among the forms studied here, should remain inside the full perimeter.

Two limits qualify this conclusion. First, the reserve rules protect holders only while reserves stay out of concentrated deposits at a few banks: reserves held as uninsured deposits at a failing bank expose holders to that bank's credit risk, as USDC holders learned in March 2023. The GENIUS Act accordingly directs regulators to set reserve diversification and deposit-concentration standards.[178] The OCC's final rule implements that direction with a principle and a cap: an issuer must measure and manage the risk of concentrating reserves at one or a few institutions, and its exposure to any one counterparty may not exceed 40 percent of its reserves, although exposures to the United States Government and reserves held in the custody of a

[175] Gorton & Zhang, supra note 15, and Morgan Ricks, The Money Problem: Rethinking Financial Regulation (2016); see also Menand & Ricks, *supra* note 14.
[176] See Merton & Thakor, supra note 20.
[177] Kashyap, Rajan & Stein, *supra* note 35.
[178] 12 U.S.C. § 5903(a)(4)(A)(iii); *see supra* note 153 and accompanying text.

qualifying institution fall outside the cap.[179] Second, obligations can rise with scale without reaching the full perimeter. A state qualified payment stablecoin issuer whose outstanding issuance exceeds $10 billion must transition to the federal regulatory framework within 360 days, cease new issuance, or obtain a waiver.[180] Singapore proposes to empower MAS to designate a stablecoin as a "Designated Systemic Stablecoin" and to subject its issuer to requirements in line with those for MAS-regulated stablecoins, whether or not the stablecoin is issued in Singapore.[181] The Bank of England's draft regime for sterling-denominated systemic stablecoins, set out in a June 2026 policy statement and draft code of practice, would require at least 30 percent of backing assets to be held as unremunerated deposits at the Bank.[182]

D. The safety illusion

Part VI showed that digital-money regimes can create public credibility before they specify public liability.[183] The mechanism is inference from signals. A holder who sees "Bank, N.A." in a firm's name, learns that the firm settles through Federal Reserve rails, or reads a regulatory label will reasonably infer the protections of an ordinary bank account. The community banks now suing the OCC make the same point.[184] Those protections may not exist: an uninsured national trust bank offers no deposit insurance, and the proposed payment account would carry no access to the discount window. Ye and Rengifo call this gap between perceived and actual protection the "safety

---

[179] 12 C.F.R. § 15.11(c)(1)–(2), (d) (effective Jan. 18, 2027); *see* OCC GENIUS Final Rule, *supra* note 64, 91 Fed. Reg. at 67,179.

[180] 12 U.S.C. § 5903(d).

[181] Monetary Auth. of Sing., Consultation Paper on Proposed Amendments to the Payment Services Act for Stablecoin Regulation, P015-2026, ¶¶ 4.1–4.2 (Sept. 2026), https://www.mas.gov.sg/-/media/mas-media-library/publications/consultations/pd/2026/sept-2026_consultation-paper-on-proposed-amendments-to-ps-act-for-stablecoins-regulation/consultation-paper-on-proposed-amendments-to-ps-act-for-stablecoins-regulation_vfinal.pdf.

[182] Bank of England, Sterling-Denominated Systemic Stablecoins: Policy Statement and Draft Code of Practice (June 22, 2026).

[183] *See supra* Part VI.D.

[184] *See* Press Release, ICBA, *supra* note 9.

illusion" of national trust bank charters.[185] When the inference fails, the boundary of public support is drawn after the fact, as it was for USDC holders in March 2023.[186]

Existing law polices the instrument, not the institution. The GENIUS Act bars terms relating to the United States Government in the name of a payment stablecoin and makes it unlawful to represent that payment stablecoins are guaranteed by the United States or federally insured.[187] Federal deposit insurance law separately forbids any person to represent or imply that an obligation is insured by the FDIC when it is not.[188] Singapore reserves the "MAS-regulated stablecoin" label for issuers that meet all the requirements of its framework.[189] None of these rules reaches the signal sent by the charter itself: an uninsured national trust bank may operate under a name that includes "Bank" and "N.A."

Two rules follow. First, the more bank-like the privilege, the more prominent the statement of what the holder does not receive. An uninsured chartered institution that markets a money-like claim should disclose, wherever it markets the claim, that the claim is not insured and that the institution has no access to the lender of last resort, and a Reserve Bank account holder should be barred from presenting that access as a guarantee of safety. Second, full reserve backing alone does not guarantee timely redemption at par; safety depends on reserve quality, immediately available liquidity, and enforceable redemption rights. USDC was fully reserved in March 2023, yet it fell below par while $3.3 billion of its reserves sat in uninsured deposits at Silicon Valley Bank and redemptions were not processed until March 13.[190] A one-to-one reserve of Treasury

---

[185] *See* Ye & Rengifo, *supra* note 2.
[186] *See supra* note 153 and accompanying text.
[187] 12 U.S.C. § 5903(a)(9)(A)(i), (e).
[188] 12 U.S.C. § 1828(a)(4).
[189] *See* Press Release, Monetary Auth. of Sing., MAS Finalises Stablecoin Regulatory Framework, *supra* note 167.
[190] *See supra* note 153; Gordon Y. Liao, Dan Fishman & Jeremy Fox-Geen, Risk-Based Capital for Stable Value Tokens (SSRN Working Paper, Aug. 15, 2024), https://ssrn.com/abstract=4926568.

bills and bank deposits protects holders against loss only so long as the deposits themselves are safe, and even then it does not protect them against delay, and a money-like claim fails when it cannot be paid on demand. The GENIUS Act directs the regulators to issue regulations implementing "the liquidity standard under paragraph (1)(A)," which is the statute's list of reserve assets and its one-to-one backing requirement rather than a free-standing liquidity rule. The OCC's final rule implements that standard with a floor: at least 5 percent of reserves must be held as demand deposits or balances at a Federal Reserve Bank, and redemption may take no more than two business days.[191] The floor can be met entirely with deposits at commercial banks, the asset that left USDC holders below par in March 2023.[192] The Federal Reserve should use that authority, for the issuers it supervises and as a condition of Reserve Bank account access, to require a minimum share of reserves held as cash or as balances at a Reserve Bank, available for same-day redemption. That requirement would sit uneasily with the proposed payment account, which would cap balances and pay no interest.[193]

E. Accountability of the allocator

Matching privileges to obligations also binds the allocator. Under each technique, the decision to confer the privilege rests with a public authority exercising discretion: the OCC in granting charters, the Federal Reserve Banks in granting access to accounts and services, the HKMA in granting stablecoin issuer licenses, and MAS in admitting participants to its settlement infrastructure. A standard for that discretion already exists. Principle 18 of the Principles for Financial Market Infrastructures provides that an FMI "should have objective, risk-based, and

[191] 12 C.F.R. §§ 15.11(c)(2)(i), 15.12(c)(1) (effective Jan. 18, 2027); OCC GENIUS Final Rule, *supra* note 64, 91 Fed. Reg. at 67,056–57, 67,065.

[192] 12 U.S.C. § 5903(a)(4)(A)(ii).

[193] *See supra* note 166 and accompanying text.

publicly disclosed criteria for participation, which permit fair and open access."[194] The Federal Reserve already applies that principle to the financial market utilities it supervises.[195] Each allocator should apply it to its own decisions as well, because each decision admits an institution to a public privilege.

Measured against that standard, each technique lacks something different. Chartering comes closest: the OCC publishes its charter decisions together with its reasoning.[196] Reserve Bank account decisions fall further short. The Account Access Guidelines publish a tiered framework, but the Tenth Circuit in Custodia upheld wide discretion to refuse an account; Reserve Banks should therefore give reasons for each decision.[197] In Hong Kong, the Stablecoins Ordinance sets out licensing criteria and the HKMA explained its approach to the first grants in a published article; it should also give reasons for each grant and refusal.[198] Singapore supplies the model for review. An applicant refused a payment services licence may appeal to the Minister, and the Payment Services Act allows an application to the High Court in respect of an access regime that MAS imposes on a designated payment system.[199] Selection for MAS initiatives such as Project Guardian and BLOOM should meet the same standard: published participation criteria and a route to review.

Conclusion: Who Gets to Perform Bank-like Functions?

Digital money separates functions that banks have long performed together, and this Article has argued that law, more than technology, determines how those functions are recombined. The

[194] Principles for Financial Market Infrastructures, *supra* note 151, princ. 18.
[195] 12 C.F.R. § 234.3(a)(18).
[196] *See, e.g.,* Office of the Comptroller of the Currency, Corporate Decision No. 1374, *supra* note 4.
[197] *See* Account Access Guidelines, *supra* note 93; Custodia Bank, *supra* note 33.
[198] Stablecoins Ordinance, Cap. 656, sch. 2 (H.K.); Yue, *supra note 108*.
[199] Payment Services Act 2019, §§ 12, 51, 54 (Sing.).

United States, Hong Kong, and Singapore have rebundled them through three distinct legal techniques. The United States relies on chartering, distributing bank-like functions across national trust banks, full-service de novo banks, incumbent banks issuing deposit tokens, and state special-purpose institutions, with the GENIUS Act adding a statutory layer for stablecoin issuers. Hong Kong relies on licensing, anchoring its first stablecoin licenses in institutions close to its monetary architecture. Singapore relies on access to settlement infrastructure, organizing tokenized finance around regulator-coordinated networks and wholesale central bank money. Each technique concentrates legal discretion in a different place, and each has a characteristic failure point: chartering destabilizes the regulatory perimeter, licensing confers credibility that holders may mistake for a public backstop, and infrastructure access concentrates discretion in the governance of the settlement layer.

These findings support a single principle. Regulatory obligations should track the functions an entity performs and the public privileges it receives: each legally conferred privilege should carry the obligations that neutralize the risk it creates, and the boundary of public support attached to it should be declared ex ante and made legible to holders. The three jurisdictions already contain many of the rules this principle requires. The gaps lie where a privilege has been conferred before its obligations, its accountability, or its boundary of public support has been specified: bank-like charters and settlement access that signal protections the law does not provide, full reserves held without the liquidity to redeem on demand, and access decisions made without published criteria or reasons. Deposit-funded lending, alone among the forms examined here, should remain inside the full prudential perimeter.

The three jurisdictions examined here suggest different near-term paths. The United States is likely to continue producing specialized digital-era bank forms. Congress has legislated, and the

GENIUS Act routes stablecoin issuance through categories built on the existing charters and chartering authorities, including a state option. The OCC has finalized its implementing rule, and the Act takes effect on January 18, 2027. The questions for the near term are how the other regulators complete their rules and how the agencies and the states decide the charter and account-access questions that the Act leaves open. Hong Kong is likely to maintain a small and highly selective stablecoin licensing regime anchored in institutions already legible to its monetary architecture. If later rounds admit issuers with no link to the note-issuing banks, the model's incumbent character will describe only its first cohort, and selective licensing will remain its technique. Singapore is likely to expand wholesale infrastructure governance through tokenized central bank bills, tokenized bank liabilities, wholesale CBDC, and cross-border settlement links.[200] Each path follows from the legal architecture that produced it, and each will test whether the privileges that architecture confers are matched by obligations.

Programmable money makes new institutional combinations possible; law decides which combinations are permitted, which receive public support, and which remain outside the banking perimeter. The question in this Article's title therefore resolves into a more precise one: who may perform which bank-like functions, with which public privileges, and under which legal obligations. The answer this Article offers is that each privilege the law confers should carry a matching obligation, a route to accountability, and a boundary of public support declared before a crisis rather than drawn after one.

[200] See Monetary Auth. of Sing., Tokenised MAS Bill, supra note 129 (listing TD26100F, S$1,000,000 offered, issued Sept. 23, 2026, maturing Sept. 30, 2026).